Companies Act, 2006

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Company Act, 2063".

(2) This Act shall be deemed to have commenced from the 20th day of the month of Ashwin of the year 2063.
2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Company" means a company incorporated pursuant to this Act.

(b) "Private Company" means a private company incorporated pursuant to this Act.

(c) "Public Company" means a company other than a private company.

(d) "Holding Company" means a company which controls a subsidiary company.

(e) "Subsidiary Company" means a company which is under the control of a holding company.

(f) "Foreign Company" means a company incorporated outside the State of Nepal.

(g) "Listed Company" means a public company whose securities are listed in a stock exchange.

(h) "Non-profit Distributing Company" means a company incorporated under Chapter-19 on the condition that it shall not distribute dividends or any other amount to its members from the profit earned or the surplus amount accumulated for the achievement of any objective.

(i) "Founder" means a person who accepts the matters written in the Memorandum and Articles of Association to be submitted to the Office for the incorporation of a company and signs as a founder.

(j) "Officer" means a director, chief executive, manager, company secretary, liquidator, and any employee taking departmental responsibility of the company.

(k) "Memorandum" means the Memorandum of Association of the company.

(l) "Articles of Association" means the Articles of Association of the company.

(m) "Prospectus" means the prospectus to be published by the company pursuant to section 23.

(n) "Share" means a fractional part of the share capital of the company.

(o) "Preference Share" means a share issued as a preference share pursuant to this Act.

(p) "Ordinary Share" means a share other than a preference share.

(q) "Bonus Share" means a share issued to shareholders as additional shares by capitalizing savings or reserve fund from the profits of the company, and the term also includes the condition where the paid-up amount of shares has been increased by capitalizing savings or reserve fund.

(r) "Shareholder" means a person having ownership in the shares of the company.

(s) "Debenture" means a debt instrument issued by the company, with or without mortgage of the company's assets.

(t) "Debenture Trustee" means an organized institution taking the responsibility of protecting the interest of debenture holders when the company issues debentures.

(u) "Register" means the register of shareholders or debenture holders maintained pursuant to section 46.

Added by the First Amendment.(u1) "Electronic Record" means the secure storage in a computer system of all types of documents submitted by the company to the Office in electronic form and documents sent by the Office to the company.

(v) "Common Seal of the Company" means the common seal of the company used by the company.

(w) "Securities Board" means the Securities Board established pursuant to the prevailing law for regulating and managing securities.

(x) "Securities" means shares, bonds, debentures or debt instruments issued by the company, and the term also includes receipts relating to deposit of securities and certificates of rights and interests relating to securities.

(y) "Director" means a director of the company, and the term also includes an alternate director.

(z) "Board of Directors" means the board of directors of the company.

(aa) "Managing Director" means the managing director of the company.

(ab) "Share at Premium" means a share issued by the company which is sold at a price higher than its face value.

(ac) "Net Worth" means the amount remaining after deducting from the total current assets of the company the total amount of liabilities including all reserves, funds or accumulated profits whether called by any name forming part of the paid-up capital or shareholders' equity, and accumulated losses, if any, but excluding any goodwill of the company.

(ad) "Unanimous Agreement" means an agreement made unanimously by all the existing shareholders of a private company relating to the operation of the company. Amended by the First Amendment.(ae) "Office" means the Office of the Company Registrar established by the Government of Nepal for the administration of companies, and the term also includes a branch office of the Office of the Company Registrar.

(af) "Registrar" means the Registrar of the Office.

(ag) "Independent Director" means an independent director appointed pursuant to sub-section (3) of section 86.

(ah) "Court" means the Commercial Bench of the Court designated by the Government of Nepal by publishing a notice in the Nepal Gazette with the consent of the Supreme Court.

(ai) "Close Relative" means a co-parcener of the same lineage, or husband, wife, father, mother, mother-in-law, father-in-law, brother, sister, sister-in-law, daughter-in-law, brother-in-law, sister-in-law, uncle, aunt, uncle, aunt, son, daughter, son's wife, grandson, granddaughter, granddaughter-in-law, or son-in-law.

(aj) "Prescribed" or "as prescribed" means prescribed or as prescribed by the Government of Nepal by publishing a notice in the Nepal Gazette. Chapter-2

Incorporation of a Company

3.

Amended by the First Amendment.4. Application Required for Incorporation of a Company: (1) A person desiring to incorporate a company pursuant to section 3 shall submit an application to the Office through electronic means for approval of the proposed name of the company.

(2) Upon receiving information that the name of the company has been approved by the Office pursuant to sub-section (1), the applicant shall upload the following documents in the computer system through electronic means and submit an application to the Office in the format as prescribed:

(a) Memorandum of Association of the proposed company,
(b) Articles of Association of the proposed company,
(c) In the case of a public company, if any agreement has been made among the founders before incorporating the company, a copy of such agreement,
(d) In the case of a private company, if a unanimous agreement has been made, a copy of such agreement,
(e) Where the prevailing law requires prior approval or license from any body before registering a company for conducting a particular type of business or transaction, such approval or license,
(f) Amended by the Some Nepal Acts Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.Certified copy of citizenship certificate, in case the founder is a Nepali citizen; certified copy of Non-Resident Nepali citizenship certificate, in case the founder is a person who has obtained Non-Resident Nepali citizenship; and in case the founder is an organized institution, the registration certificate of such institution, the decision of the board of directors regarding incorporation of the company, and the principal constitutive document of such institution,
(g) License obtained pursuant to law to make investment or carry on business or transaction in Nepal, in case a foreign person, company or body is a founder,
(h) Document certifying which country the founder is a citizen of, in case a foreign person is a founder,
(i) Certified copy of the certificate of incorporation of such company or body and the principal constitutive document, in case a foreign company or body is a founder.

(3) Notwithstanding anything contained in clause (b) of sub-section (2), it shall not be necessary to submit the Articles of Association of the proposed company for the incorporation of a company with a single shareholder having only one person as founder, if the founder agrees to accept the format of the prescribed Articles of Association. 5.

Company to be Registered: (1) Upon receipt of an application for incorporation of a company pursuant to section 4, the Office shall, after making necessary inquiry, register such company within Amended by the First Amendment.seven days from the date of receipt of the application upon charging the prescribed fee, and shall issue a certificate of incorporation of the company to the applicant in the format as prescribed. Added by the First Amendment.If the company is not registered within the prescribed time, the Office shall inform the proposed company within three days with reasons thereof. Added by the First Amendment.(1a) While authenticating application and documents related to certificates, electronic signatures shall also be valid, and documents may be submitted through electronic means. (2) After the company is registered pursuant to sub-section (1), the company shall be deemed to be incorporated. (3) For the purpose of sub-section (1), the Office shall maintain a register of companies in the format as prescribed. (4) After the incorporation of the company pursuant to this section, subject to this Act, the matters written in the Memorandum and Articles of Association shall be binding on the company and each of its shareholders as if they were provisions made in separate agreements between the company and its shareholders and among the shareholders themselves. (5) No person shall, without registering a company pursuant to this Act, carry out any kind of transaction in the name of any firm or organization using the word "company". 6.

Refusal to Register a Company: (1) The Office may refuse to register a company in any of the following circumstances: Amended by the First Amendment.(a) If the proposed name of the company is identical to or so closely resembles the name or trademark name of any existing registered company as to be likely to cause confusion, (b) If the name or objectives of the proposed company are contrary to the prevailing law or appear inappropriate or undesirable from the perspective of public interest, morality, integrity, propriety, etc., or reflect the intention of a criminal act, (c) If the proposed name of the company is identical to or so closely resembles the name of a company whose registration has been cancelled pursuant to this Act or which is in liquidation pursuant to the prevailing law, and the period of five years from such cancellation or liquidation has not yet expired, (d) If the conditions necessary for the incorporation of the company pursuant to this Act have not been fulfilled. (2) In case the Office refuses to register a company due to any of the circumstances mentioned in sub-section (1), the applicant shall be given a notice with the reasons thereof within fifteen days from the date of application for incorporation of the company pursuant to section 4. (3) If the Office refuses to register a company pursuant to sub-section (1) or fails to give notice pursuant to sub-section (2), the person aggrieved may lodge a complaint with the Court within fifteen days. 7. Company to be a Body Corporate: (1) A company incorporated pursuant to this Act shall be a self-governing and organized body corporate with perpetual succession. (2) Subject to this Act, a company may acquire, hold, sell or otherwise dispose of movable and immovable property like a person. (3) A company may sue and be sued in its own name. (4) A company may enter into contracts like a person and exercise rights and perform duties under such contracts. 8. Liability to be Limited: In relation to the transactions of a company incorporated pursuant to this Act, the liability of a shareholder shall be limited to the maximum amount of the shares he/she has purchased or has agreed to purchase. 9. Number of Shareholders: (1) The number of shareholders of a private company shall not exceed Amended by the First Amendment.one hundred and one.

Added by the Some Nepal Acts Amendment Act to Make Compatible with the Constitution of Nepal, 2075.(1a) Notwithstanding anything contained in sub-section (1), if an application is made within three months from the date of commencement of this sub-section for the incorporation of a private company by transport entrepreneurs registered and operating pursuant to the prevailing law and associated with a transport entrepreneurs committee to operate transport business, it shall not be a bar to register such a private company even if the number of shareholders exceeds that mentioned in sub-section (1). (2) Subject to the proviso of sub-section (2) of section 3, the number of shareholders of a public company may be at least seven and at most any number. (3) Notwithstanding anything contained in sub-section (1), employees who have purchased shares of the company under an employee share purchase scheme, or employees who have already purchased shares under such scheme but are not currently in the service of the company, shall not be counted as shareholders. 10. Conditions to be Compiled with by a Company: A company incorporated pursuant to this Act shall, in addition to the conditions mentioned in this Act, the Memorandum or the Articles of Association, comply with the following conditions: (a) All business and transactions carried out by it shall be done in the name of that company. (b) A private company shall write "Private Limited" after its name and a public company shall write "Limited" after its name. Provided that this provision shall not apply in the case of a non-profit distributing company. (c) A private company shall not openly sell its shares and debentures. (d) A private company shall not transfer its securities by way of mortgage or any other means to any person other than its shareholders without completing the procedure provided in the Memorandum, Articles of Association or Unanimous Agreement. (e) A company shall not open a partnership or private firm. (f) Except where otherwise provided in this Act, a non-profit distributing company shall not distribute dividends to its members or make payment of any amount directly or indirectly to a member or his/her close relative. 11.

Added by the First Amendment.Existing private companies shall convert into public companies pursuant to this section within two years. 13. Conversion of Private Company into Public Company: (1) A private company shall convert into a public company pursuant to this section in the following circumstances:

(a) If the general meeting of the private company passes a special resolution deciding to convert the company into a public company,

Provided that a private company shall not be able to convert into a public company unless it fulfills the conditions required by this Act to become a public company.

(b) Removed by the First Amendment.

(c) Removed by the First Amendment.

(2) In the case of clause (a) of sub-section (1), the relevant private company shall, within thirty days from the date of such decision, submit an application to the Office in the prescribed format along with the prescribed fee, attaching a copy of the decision mentioned in that clause, for conversion into a public company.

(3) Upon receipt of an application at the Office pursuant to sub-section (2), if the relevant private company has fulfilled the conditions necessary to carry on business as a public company pursuant to this Act, the Office shall, within sixty days, issue a certificate of conversion into a public company in the prescribed form, noting in the register of companies that such company has been converted into a public company.

(4) Removed by the First Amendment.

(5) Removed by the First Amendment.

(6) Removed by the First Amendment.

(7) Removed by the First Amendment.

(8) If a private company converts into a public company pursuant to this section, from the date of such conversion, the provisions applicable to a public company pursuant to this Act shall be deemed to apply automatically to that company.

(9) If a private company converts into a public company pursuant to this section, all assets and liabilities of the converting private company shall vest in the resulting company. 14. Conversion of Public Company into Private Company: (1) A public company shall convert into a private company pursuant to this section in the following circumstances:

(a) If the number of shareholders of a public company falls below seven,
(b) If a public company fails to maintain its paid-up capital as per section 11, or due to reduction of capital under section 57, the paid-up capital required under section 11 is not maintained.

Provided that this provision shall not apply in the case of a company falling under sub-section (2) of section 11.

(2) If the circumstances under sub-section (1) occur, the relevant public company shall, within six months, make necessary amendments to its Memorandum and Articles of Association and convert into a private company.

(3) The relevant public company shall, within thirty days of such amendment, submit an application to the Office in the prescribed format along with the prescribed fee, attaching copies of the amended Memorandum and Articles of Association, for conversion into a private company.

(4) Upon receipt of an application at the Office pursuant to sub-section (3), the Office shall, within sixty days, issue a certificate of conversion into a private company in the prescribed form, noting in the register of companies that such company has been converted into a private company.

(5) If a public company converts into a private company pursuant to sub-section (4), all assets and liabilities of the converting public company shall vest in the resulting company. 15. Service of Notice, Summons, etc.: (1) Notwithstanding anything contained in the prevailing law, if any notice, summons, warrant, etc., is required to be served on a company, director, shareholder, debenture holder or employee in relation to the business of the company or any matter connected with the company, such service shall be deemed to have been duly made if delivered at the registered office of the company, or sent by registered post, or sent by fax, email, telex or similar other electronic device kept at such office. If such notice, summons, warrant, etc., cannot be served in that manner, the concerned company, director or employee may be informed by broadcasting or publishing a notice related thereto on radio, television or a national daily newspaper.

The notice so given shall be deemed to have come to his/her knowledge. (2) Notwithstanding anything contained in the prevailing law, if any summons, notice, warrant, etc., is required to be served on any director, shareholder, debenture holder or employee of a company in relation to matters connected with his/her official duties, on behalf of the company or on behalf of any authorized officer or court, it may be sent by registered post to the address provided by such director, shareholder or employee for correspondence by post, or if such person has provided his/her telex, email, fax address, to such address; and upon such sending, the notice, summons, warrant, etc., shall be deemed to have been duly served. (3) Notwithstanding anything contained elsewhere in this Act, when a company needs to send any notice or information to any shareholder, debenture holder or director pursuant to this Act, or receive any information from them, it may be sent, as provided in the Articles of Association or with their consent, to the electronic communication address provided by them, using electronic communication means. Provided that such notice or information shall be sent by post or other reliable means to those shareholders, debenture holders or directors who do not consent to receive such notice or information through electronic communication means. 16. Duties and Functions of the Registrar: (1) The Registrar shall have the duty to implement this Act and administer companies. (2) Without prejudice to the generality of sub-section (1), the Registrar may issue necessary directives to effectively or systematically perform functions relating to the implementation of this Act and the administration of companies, and it shall be the duty of every company and officer to comply with and ensure compliance with such directives. (3) Directives issued pursuant to sub-section (2) shall be published to make them available to the public. (4) The Registrar may, as required, delegate some of the powers conferred on him/her under this Act to Amended by the First Amendment.any authorized officer of the Office. (5) Notwithstanding anything contained elsewhere in this section, this section shall not be deemed to limit any direction given by a regulatory body to a company pursuant to the prevailing law or the authority exercised by such body over such company pursuant to the prevailing law. 17.

Chapter-3

Memorandum, Articles of Association and Prospectus

18. Memorandum: (1) The Memorandum of Association of a company shall contain the following particulars:

(a) Name of the company,
(b) Address of the registered office of the company,
(c) Objectives of the company,
(d) Activities to be carried out to achieve the objectives of the company,
(e) Amount of authorized capital of the company, amount of share capital to be initially issued by the company, and amount agreed to be paid by the founders of the company,
(f) Types of shares of the company, rights and powers attached to such shares, value of each share and number of shares of different types,
(g) If there are any restrictions on purchase or transfer of shares, that fact,
(h) Number of shares agreed to be initially taken by the founders,
(i) Terms of payment for the shares,
(j) That the liability of shareholders is limited,
(k) In the case of a private company, the maximum number of shareholders,
(l) Other necessary matters.

(2) In addition to the matters mentioned in sub-section (1), if any of the following matters are to be done or occur, such matters shall also be mentioned in the Memorandum:

(a) If any founder or other person is to purchase shares or acquire rights in shares otherwise than in cash,
(b) If the company is to acquire any property from any founder or other person in any manner at the time of commencement of business,
(c) If the expenses incurred in incorporating the company are to be borne by the company,
(d) If any founder or other person is to receive any special privilege or right from the company.

(3) When a founder or other person purchases shares or acquires rights in shares otherwise than in cash as mentioned in clause (a) of sub-section (2), or when the company acquires any property from a founder or other person at the time of commencement of business as mentioned in clause (b) of that sub-section, in the case of a public company, such property shall be valued by a certified engineer or accountant pursuant to the prevailing law. Added by the Some Nepal Acts Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3a) After the incorporation of the company, the company may also grant to any founder or other person the right to purchase shares or acquire rights in shares otherwise than in cash.

Added by the Some Nepal Acts Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3b) When the company issues or sells shares or grants rights to any founder or other person otherwise than in cash, a special resolution shall be passed by the general meeting of the company. While passing such a special resolution, the company may decide to issue or sell shares at a discount. Added by the Some Nepal Acts Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3c) When the company issues or sells shares or grants rights to any founder or other person otherwise than in cash pursuant to this section, the basis may also include intellectual property, value addition, services, goodwill, know-how sharing or transfer of technical knowledge to be received by the company from the founder or person. The value of shares issued in such a manner shall be based on the value determined with reasons by a certified engineer or accountant authorized to conduct valuation pursuant to the prevailing law. Added by the Some Nepal Acts

Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3d) If there is a written agreement between the company and its employee, shares may be provided to such employee in lieu of remuneration, allowances and facilities. Added by the Some Nepal Acts Amendment Act Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3e) When shares are provided to a founder or any other person otherwise than in cash pursuant to clause (a) of sub-section (2), it shall not exceed twenty percent of the paid-up capital of the company. Provided that in the case of a company registered as a startup enterprise, it shall not exceed forty percent of the paid-up capital of the company.

(4) The basis for valuation of any property pursuant to sub-section (3) shall be as prescribed, and if not so prescribed, the person valuing such property shall mention the basis of valuation along with the description of the property.

(5) In case of any conflict between the Memorandum and this Act, the Memorandum shall be void to the extent of such conflict.

(6) The format of the Memorandum shall be as prescribed. 19.

Provided that no correction shall be made which alters the main objectives of the company. 20. Articles of Association: (1) To achieve the objectives mentioned in the Memorandum and to conduct the affairs of the company in a systematic manner, the company shall prepare its Articles of Association.

(2) The Articles of Association shall contain the following matters:

(a) Manner of convening the general meeting of the company, matters relating to notice to be given for the meeting,
(b) Procedure of the general meeting,
(c) Number of directors, provision for alternate directors if any, and term of office of directors,
(d) Provisions relating to record of decisions of the general meeting and board of directors, copies thereof and inspection,
(e) Minimum number of shares a person must hold to be appointed as a director of the company,
(f) In the case of a public company, the qualification and number of independent directors,
(g) If any professional person other than a shareholder is to be appointed as director, provisions relating to their number, term, qualification and appointment procedure,
(h) Powers and duties of the board of directors and managing director,
(i) Authority of directors and delegation of authority,
(j) Quorum for meetings of the board of directors, notice for meetings and procedure of meetings,
(k) Lien on shares,
(l) Different classes of shares and the rights, powers and restrictions attached to such shares,
(m) Provisions relating to calls for payment on shares and forfeiture of shares,
(n) Provisions relating to transfer of shares,
(o) Matters relating to increase or decrease of share capital,
(p) If the company is to purchase its own shares, that matter,
(q) Appointment of company secretary,
(r) Provisions relating to remuneration, allowances and facilities of directors,
(s) Use of the common seal, if the company uses a seal in its transactions,
(t) Accounts, books of account and audit of the company,
(u) Provisions for raising loans or debentures,

(v) Provisions relating to merger of companies,
(w) If any provision is made in the prevailing law requiring a particular matter to be specified in the Articles of Association of a company engaging in a specific business, that matter,
(x) Other necessary matters to be specified in the Articles of Association.

(3) If any provision of the Articles of Association, including any provision relating to the indemnification of directors or officers, conflicts with this Act or the Memorandum, it shall be void to the extent of such conflict.

(4) The format of the Articles of Association shall be as prescribed. 21.

Amendment of Memorandum or Articles of Association: (1) The company may, by passing a special resolution at its general meeting, and subject to section 6, amend the Memorandum or Articles of Association. (2) The company shall inform the Office within thirty days of any amendment to the Memorandum or Articles of Association pursuant to sub-section (1), and the Office shall, within seven days of receiving such information, record it and notify the company accordingly. (3) Notwithstanding anything contained in sub-section (2), if a company needs to amend its name, it shall pass a special resolution at its general meeting and submit an application to the Office for prior approval along with the prescribed fee; and the name of the company shall be amended if the Office approves the application for name amendment. (4) If any shareholder is aggrieved by an amendment to the objectives of a public company, he/she may, stating reasons, apply to the Court to have the amendment declared invalid, upon fulfilling the following conditions: (a) The application shall be made by a shareholder or shareholders holding at least five percent of the paid-up capital of the company, excluding shareholders who voted in favor of the amendment, (b) The application shall have been made within twenty-one days of the passing of the resolution to amend the objectives of the company, (c) If an application is to be made on behalf of one or more shareholders entitled to apply, the application shall be made by a person authorized in writing for that purpose. (5) No application made pursuant to sub-section (4) shall be heard unless the Court is satisfied that the company has also been informed of the contents, date, time and place of the application.

Provided that if it appears from the documents submitted to the Court that the company has not acknowledged receipt of such notice, it shall not prejudice the hearing by the Court.

(6) If an application is made to the Court pursuant to sub-section (4), the amendment to the objectives of the company shall not take effect until a final decision or order is made by the Court on that matter.

(7) Upon an application under sub-section (4), the Court may issue appropriate orders specifying the following terms and conditions:

(a) Declare the amendment to the objectives wholly or partly valid or invalid,
(b) Order the company to purchase the shares and other rights of the shareholders who disagree with the change in the main objectives of the company and have applied under sub-section (4), at a fair price,
(c) Order that the purchase of shares pursuant to clause (b) be made from the amount referred to in sub-section (2) of section 61, and in the case of a company not having such amount, order the reduction of the company's capital to the extent of such share purchase, deeming the capital to have been reduced, by passing a special resolution; and upon such order, the company shall amend its Memorandum and Articles of Association subject to the provisions of this Act.

(8) Notwithstanding anything contained elsewhere in this Act, if an order has been issued wholly or partly invalidating a decision made by the company to amend its objectives pursuant to a court order, the company shall not amend the Memorandum or Articles of Association on that matter without the permission of the

Court or in a manner contrary to the Court's order.

(9) If the Memorandum or Articles of Association of a company are altered by an order of the Court, or if an amendment made by the company is wholly or partly confirmed by the Court, such alteration or confirmation shall be treated and enforced as if it had been altered or confirmed by the general meeting itself. 22. Publication of Memorandum and Articles of Association: (1) A public company shall publish its Memorandum and Articles of Association within three months of obtaining the certificate to commence business.

(2) If any amendment is made to the Memorandum or Articles of Association of a public company, the amended Memorandum and Articles of Association shall be published within three months of such amendment.

(3) The Memorandum and Articles of Association published pursuant to sub-section (1) or (2) shall be kept at the registered office of the public company so as to be made available upon demand by any stakeholder. 23.

Prospectus to be Published: (1) A public company shall publish a prospectus before making a public issue of its securities. (2) Before publishing a prospectus pursuant to sub-section (1), all directors of the company shall sign the prospectus and submit a written application to the Securities Board for approval in accordance with the prevailing law relating to securities. (3) No company or any person on behalf of such company shall publish or cause to be published a prospectus of such company until the Securities Board has approved it and granted permission for public issue pursuant to sub-section (2) and one copy of such prospectus is registered with the Office. (4) If it appears that any material particular has been omitted from or any unnecessary particular has been included in the prospectus submitted pursuant to sub-section (2), the Securities Board shall require necessary (3) If a shareholder representing at least ten percent of the shares of a class dissatisfied with a decision made regarding the modification of rights attached to a specific class of shares under subsection (2) files a petition in the court to annul the decision to modify, the decision regarding the modification of the rights of the shareholders of that class shall not be effective until the court decides or orders otherwise. (4) A petition under subsection (3) must be filed within thirty days of the decision to alter the rights attached to the specific class of shares, and the decision under subsection (2) shall not be implemented until that period has elapsed. (5) If it appears that modifying the rights acquired by the shareholders of the relevant class would be detrimental to the interests of the petitioning shareholders, the court may annul the decision made regarding the modification of the rights of the shareholders of that class. (6) A proposal to modify the rights of the shareholders of any specific class under subsection (2) shall be presented by the board of directors to the general meeting of the shareholders of the relevant class, and such proposal must be passed as a special resolution at the general meeting. (7) Notwithstanding anything else written elsewhere in this section, when privatizing a company fully or partially owned by the Government of Nepal in its capacity as a shareholder, in accordance with the prevailing law on privatization, so long as the investment of the Government of Nepal in such company remains, the Government of Nepal may have special voting rights as provided in the regulations for decisions on the following matters: (a) when deciding on a proposal to waive rights under clause (a) of subsection (1) of section 105, (b) when deciding on the voluntary winding up of the company, (c) when deciding on the merger of the company with another company.

31. Sending details of shares to the office: (1) The company shall send to the office, within thirty days of the allotment of shares, the number of issued and allotted shares, the total amount thereof, the names and addresses of the persons taking those shares, and an account of the amount collected and the amount remaining to be collected per share.

(2) If the value of any share has been paid, in whole or in part, by means other than cash at the time of allotment, the company shall also send to the office the document relating to the consideration for which the share was allotted, whether by contract for the sale of shares or for services or any other kind of consideration, the number of shares allotted, the face value of such shares, and the extent to which the value of the share is deemed to have been paid. 32. Conducting securities transactions: (1) When a public company issues its securities to the public, all activities such as the sale, allotment, and collection of proceeds of such securities shall be conducted only through a licensed securities dealer.

(2) A copy of the agreement made by a public company for conducting securities transactions through any institution shall be submitted to the office within seven days from the date of such agreement. 33. Share certificate: (1) Every shareholder shall be given a share certificate, in the format as prescribed, bearing the signatures of any two of the following: a director, or the chief executive officer of the company, or the company secretary (in the case of a public company), or the person mentioned in the regulations or unanimous agreement (in the case of a private company), and the seal of the company, if any, within two months from the date of allotment of the shares taken by him/her.

(2) When giving a share certificate for shares jointly taken by two or more persons, the names of those persons shall be mentioned in the certificate, and the certificate may be given to any one of them.

Provided that, in the register of shareholders, the names of all shareholders shall be mentioned.

(3) If a share certificate is lost, or destroyed due to an act of God or any other reason, the shareholder shall inform the registered office of the company as soon as he/she becomes aware of such loss, act of God, or destruction.

(4) Upon receiving a petition under subsection (3), the company shall, after making all necessary inquiries into the matter, if the content mentioned in the petition appears reasonable, give another share certificate to the petitioner upon collecting the fee prescribed in the regulations for the copy, and such matter shall also be recorded in the register of shareholders.

(5) Notwithstanding anything else written elsewhere in this section, if a listed company has arranged for a securities registrar authorized under the prevailing law to provide securities depository services to maintain the register pursuant to subsection (6) of section 46, the company may make provision to give the shareholder a securities depository passbook or any other certificate certifying him/her as a shareholder, instead of a share certificate.

(6) A certificate issued by the company, stating the number of shares or debentures held by any shareholder or debenture holder, bearing the signature of its authorized officer and the company's seal if the company uses a seal, shall be prima facie evidence of his/her ownership of such shares or debentures.

(7) If a company has allotted any shares or debentures to a representative of a licensed securities transaction institution under the prevailing law, or transferred such shares or debentures, the provision of subsection (1) shall not apply in respect of such shares or debentures. 34. Raising loans or debentures: (1) If any public company considers it necessary to raise loans or debentures, it may, after determining the reason therefor, the action plan to be accomplished thereby, and the budget required therefor, raise loans or debentures either by mortgaging or pledging the immovable property of the company or without doing so.

Provided that, debentures shall not be raised until the issued capital of the company, which has obtained permission to commence business, has been fully paid up.

(2) Notwithstanding anything written in the prevailing law, subject to subsection (1), the company may, keeping the same security, raise further loans or debentures, clearly indicating all subsequent creditors and amounts, provided that the security given to previous creditors is not discharged.

(3) Notwithstanding anything written in the prevailing law, matters relating to the terms, tenure, and interest of loans taken or given by the company shall be as per the deed or contract between the creditor and the debtor.

(4) If the company is to raise loans or debentures under subsection (1) or (2), it shall give notice to the office along with the reason therefor. 35. Procedure for raising debentures: (1) When a public company issues debentures under this Act, it shall do so by arranging a debenture trustee. Such debenture trustee must be a debenture trustee approved by the Securities Board.

(2) When issuing debentures with a debenture trustee, matters relating to the creditor-debtor relationship shall be as mentioned in the agreement between such trustee and the company.

(3) If provision has been made in the memorandum or articles for converting debentures into shares, or if such condition was stated before the issuance of the debentures, subject to the provisions of this Act relating to share capital, any debenture may be converted into shares.

(4) If debentures are to be converted into shares under subsection (3), such matter shall be clearly stated in the prospectus.

(5) Notwithstanding anything written in the prevailing law, for the purpose of enforcing a contract entered into between the company and any person regarding the purchase of debentures issued by any public company, the court may, if it deems necessary, issue an order for specific performance. 36.

Agreement required between debenture trustee and company: (1) An agreement must be entered into between the company issuing the debentures and the debenture trustee acting as trustee to protect the interests of the debenture holders, in relation to the debentures to be raised by any company. (2) When making an agreement under subsection (1), the following matters shall be stated in such agreement: (a) that the debenture trustee may have the valuation of the company's assets, project analysis, or management analysis done, (b) the time for payment of principal and interest on the debentures purchased by the debenture holder, the interest rate, the procedure for payment of principal and interest, and if there is provision for converting debentures into shares, matters relating thereto, (c) matters relating to the rights of other creditors over the company's property and the arrangement made regarding future liabilities, (d) if the conditions mentioned in the agreement are breached or not fulfilled, or if for any other reasonable reason the financial transactions of the company need to be taken under control, or if the security as per the agreement needs to be taken possession of, that the debenture trustee may take possession of such company's property or assets or the property taken as collateral by the debenture trustee, or may retain the collateral itself or sell it by auction or any other suitable means, (e) matters relating to the procedure for the company to pay the service fee and other direct expenses of the debenture trustee, (f) that the debenture trustee shall not be liable for any loss, damage, or harm caused to the company or the debenture holder while acting in the capacity of debenture trustee, (g) if a situation arises requiring the company to be dissolved, the legal action that the debenture trustee may take on behalf of the debenture holder and the exercise of the rights of the debenture holder, (h) any other matters necessary for the protection of the interests of the debenture holder. (3) The debenture trustee may take the company's property as security for the protection of the interests of the debenture holder, and have such security registered in its own name in accordance with the prevailing law. (4) Before taking security under subsection (3), the debenture trustee may, if it deems necessary, get the valuation of the property or assets to be taken as security, as well as the project analysis or management analysis of the company, done. (5) After an agreement has been entered into between the debenture trustee and the company under this section, if such company is to raise further debentures, it must obtain the consent of the debenture trustee. 37.

Debenture trustee may inspect and request details: Before entering into an agreement with the company to act as a debenture trustee, the debenture trustee may make necessary inspections and take or request details, information, or notice on the following matters, and if so requested, the relevant company shall provide the same: (a) whether the memorandum or articles of the company contain a provision for raising loans or debentures, and if such provision exists, whether the board of directors of the company has the authority to decide to raise such debentures, (b) whether there is a provision in the memorandum or articles of the company to raise debentures through a debenture trustee, (c) whether the existing property of the company is sufficient to cover the value of the debentures to be raised, (d) matters relating to other creditors and liabilities of the company, (e) the balance sheet of the company and the auditor's report, (f) any other necessary matters as the debenture trustee considers appropriate. 38. Company to submit periodic details to debenture trustee: (1) After an agreement has been entered into between the company and the debenture trustee under section 36, the company shall submit its financial transaction details to the debenture trustee every six months. (2) If there is a change in the management of the company or any change in ownership after the debentures have been raised, the company shall inform the debenture trustee of such change within seven days of such change. (3) If additional details, information, or notice on any matter is required beyond the details or information submitted by the company under subsection (1) or (2), the debenture trustee may request such details, information, or notice from the company, and it shall be the duty of the company to make available such requested details, information, or notice to the debenture trustee. 39.

Rights and duties of debenture trustee: (1) If the company violates any condition mentioned in the agreement made under section 36, the debenture trustee may demand that such company fulfill that condition as soon as possible or repay the principal and interest of the debenture holder within a fixed period. (2) If due to the repayment under subsection (1) or for any other reasonable reason, the financial transactions of the company need to be taken under control or the security as per the agreement needs to be taken possession of, the debenture trustee may, subject to the prevailing law, take possession of the property, assets, or securities of such company, and may retain the property or assets so taken into possession, or sell them with or without auction, or make any other suitable arrangement. (3) After taking possession of the company's property under subsection (2), the debenture holder's amount shall be paid from the proceeds of the sale of the property. If any amount remains after paying the debenture holder's amount, the debenture trustee shall return such amount to the relevant company. (4) Notwithstanding anything else written elsewhere in this Act, if the entire amount due to the debenture holder cannot be paid from the proceeds of the property taken as security or sold after taking possession by the debenture trustee, except in the case where the debenture trustee itself has taken over the property under security, the debenture trustee shall pay the amount to the debenture holder on a pro-rata basis, and such shortfall shall not be borne from the property of the debenture trustee. (5) A debenture holder holding more than fifty percent of the debentures may file a petition with the Securities Board stating that any debenture trustee has failed to act in the interest of the debenture holder, seeking the removal of such debenture trustee. (6) If, upon examining the petition filed under subsection (5), the content appears reasonable, the Securities Board shall remove such debenture trustee and arrange for another debenture trustee. 40. Debenture trustee to charge service fee: (1) The debenture trustee may charge a service fee from the company for acting in the capacity of a debenture trustee. The amount of such service fee shall be as per the agreement between the debenture trustee and the relevant company. (2) The debenture trustee may recover from the relevant company the actual expenses incurred while doing any work on behalf of the debenture holder or the company, such as when valuing the company's property, taking possession, or selling by auction. 41.

Debenture trustee to have the rights of the debenture holder: (1) If the company raising the debentures is dissolved, or if such company becomes insolvent for any other reason, the debenture trustee shall represent the debenture holder. (2) If it becomes necessary to file a lawsuit on behalf of the debenture holder for the repayment of the principal and interest of the debenture holder or for any other reason, the debenture trustee shall have the right to file a lawsuit on behalf of the debenture holder. 42. Shares or debentures may be sold or pledged: (1) Subject to this Act, the memorandum and articles, shares or debentures of a company may be sold or pledged as movable property. (2) Notwithstanding anything written in subsection (1), except for a private company that has not taken a loan from any other company, the founder of a company shall not be entitled to sell or pledge the shares taken by him/her until the first general meeting of the company is held and the call amount on the shares issued in his/her name is fully paid. (3) If shares or debentures are pledged under subsection (1), the pledgee shall submit a petition to the registered office of the company in the format as prescribed, along with the prescribed fee, for recording such matter in the register. Along with such petition, the petitioner shall also submit the deed related to the pledge and the certificate of the shares or debentures. (4) Upon receipt of a petition under subsection (3), the company shall record in the register the fact that such shares or debentures have been given and taken as a pledge, and upon receiving notice of the repayment of such pledged shares or debentures, the entry of such pledge shall be removed from the register. 43. Transfer of shares or debentures: (1) When a share or debenture is sold subject to subsections (1) and (2) of section 42, the person purchasing it shall submit an application to the registered office of the company in the format as prescribed, along with the fee prescribed in the regulations, for the transfer of such share or debenture.

Along with such application, the applicant shall also submit the deed relating to the sale and purchase of the shares or debentures and the certificate of the shares or debentures.

(2) Upon receipt of an application under subsection (1), the company shall, within fifteen days of the application, remove the name of the previous shareholder or debenture holder from the register and register the name of the current holder.

(3) Notwithstanding anything written in subsection (1), if the prevailing law on securities transactions provides that a transfer deed is not required for the transfer of rights in the company's shares or debentures, such deed need not be submitted when applying accordingly.

(4) If any person transferring a security files an application stating the fact of transfer of any share or debenture, along with a deed bearing the signature of the buyer regarding the sale and purchase of the share, the company, treating it as if the transferee of the share or debenture had himself/herself applied, shall register the name of the transferee of the share or debenture in the register of shareholders or the register of debenture holders.

(5) The provision made in subsection (1) shall not be deemed to prevent the company from registering the name of any person whose right in any share or debenture has accrued according to any other provision made in the prevailing law, as a shareholder or debenture holder. 44. Refusal to register shares or debentures: (1) Notwithstanding anything written in section 42 or 43, the company may refuse to note in the register that shares have been pledged, or to affect the transfer of shares or debentures upon sale, in the

following circumstances:

(a) if the call amount for the share has not been paid,
(b) if effecting the transfer would be contrary to the company's articles or any agreement among the shareholders,
(c) if the transfer fee is not submitted along with the application.

(2) If the company refuses to note the fact of a pledge of shares or debentures in the register, or to transfer shares or debentures, under subsection (1), it shall give notice thereof to both the pledgee or the purchaser of the shares or debentures within fifteen days from the date of the application. 45.

Other circumstances for transfer of shares or debentures: If a shareholder or debenture holder dies, or his/her property is given to a creditor in insolvency, or for any other reason his/her shares or debentures become the right of any other person under the prevailing law, the person who acquires such right or whose right has accrued, upon submitting an application to the company in the prescribed format with the prescribed fee along with proof of such fact, the company shall transfer such shares or debentures in his/her name. Provided that, even if the share has not been transferred in the name of the person whose right has so accrued, if the deed of transfer of the share in the name of the previous shareholder and any other related rights of the previous shareholder has been executed by the legal heir of the previous shareholder in whose name such rights have accrued under the prevailing law, then such share shall be deemed to have been transferred in the name of such person, and such transfer shall be deemed to have been duly made. 46. Register of shareholders and debenture holders: (1) Every company shall maintain a register of shareholders and a register of debenture holders in the prescribed format and keep them at the registered office of the company. (2) In the register of shareholders under subsection (1), the following matters shall be stated in respect of each shareholder, in the serial order of shares: (a) full name and address of the shareholder, (b) number of shares taken by the shareholder, (c) total amount paid by the shareholder for the shares and the amount remaining unpaid, (d) date of registration of his/her name as a shareholder, (e) date of removal of the shareholder's name, (f) name and address of any person to whom the share has been bequeathed after the shareholder's death. (3) In the register of debenture holders under subsection (1), the following matters shall be stated in respect of each debenture holder, in the serial order of debentures: (a) full name and address of the debenture holder, (b) number of debentures taken by the debenture holder, (c) total amount paid by the debenture holder for the debentures and the amount remaining unpaid, (d) date of registration of his/her name as a debenture holder, (e) date of removal of the debenture holder's name, (f) name and address of any person to whom the debenture has been bequeathed after the debenture holder's death. (4) If a shareholder or debenture holder of the company wishes to inspect the register maintained under subsection (1), the company shall allow inspection.

Provided that, in the case of a public company, after publishing a notice in a national level newspaper seven days in advance, and in the case of a private company, as mentioned in the regulations or unanimous agreement, the inspection of the register may be closed for a maximum of thirty days at one time, not exceeding forty-five days in a year.

(5) If any person wishes to obtain a copy of the register of shareholders, except during a period when inspection is closed as per the proviso to subsection (4), the company shall provide a copy upon charging such fee as prescribed in the case of a public company, and as mentioned in the memorandum, articles, or unanimous agreement in the case of a private company.

(6) Notwithstanding anything else written elsewhere in this section, a listed company may cause the register

to be maintained by a recognized securities registrar under the prevailing law for providing securities depository services. A copy of the register so maintained shall be kept at the registered office of the company before giving notice of the annual general meeting each year. The register shall contain the matters mentioned in subsections (2) and (3).

(7) If it is found that false information has been recorded in the register maintained under subsection (6) so as to affect the rights or interests of any person, such securities registrar, its directors, officers, and employees, in addition to the penalties mentioned in section 160, the concerned party shall also be entitled to recover any loss or damage caused by the false recording. 47. Information regarding rights in shares: (1) If the company requests any shareholder of a company to provide information as to the capacity in which he/she has acquired the shares carrying full voting rights registered in his/her name, whether any other person has an interest in the shares registered in his/her name, and if any other person is a beneficiary of such shares, the identity of such person and the nature of his/her right, it shall be the duty of such shareholder to inform the company within thirty days.

(2) After the information requested under subsection (1) is received by the company, the date of such request, the date of receipt of the information, and the content of the information received shall be recorded in the share register alongside the name of the relevant shareholder, and the relevant information shall be sent to the office within seven days. 48.

Address of shareholder: (1) Unless otherwise notified and changed, the address of the shareholder mentioned in the register of shareholders shall be deemed to be his/her actual address. (2) If the address of a shareholder changes, notice of the new address shall be given in writing to the registered office of the company immediately upon the change. (3) After receiving notice under subsection (2), the director or company secretary shall record the changed address accordingly in the register of shareholders. (4) After sending a notice to the address provided by the shareholder, unless otherwise proven, a notice required to be provided by the company to a shareholder under this Act shall be deemed to have been duly sent and received by the relevant shareholder. 49. Index of shareholders: (1) Every company having more than fifty shareholders shall prepare and maintain a separate index of the names of its shareholders, unless the register of shareholders is maintained in such a way that the index of the names of the shareholders is clear from the register itself. (2) If any change is made in the register of shareholders, necessary changes shall also be made in the index prepared under subsection (1) within thirty days from the date of such change. (3) The index of shareholders shall be maintained in such a way that necessary information regarding all shareholders can be easily obtained from the register of shareholders. (4) The index of the names of the shareholders shall be kept with the register of shareholders. (5) If any company fails to comply with this section, this Act shall be deemed not to have been complied with. 50. Substantial shareholders: (1) If any person has taken, in his/her own name or through his/her representative, five percent or more of the paid-up capital of any public company consisting of ordinary shares with full voting rights, such person shall be deemed to have substantial share ownership in that company.

Provided that, in the case of a company with a paid-up capital exceeding twenty-five crore rupees, the taking of one percent or more of the total paid-up capital of such company shall also be deemed to constitute substantial share ownership. (2) Every substantial shareholder of a public company shall, within thirty days of becoming aware that he/she is a substantial shareholder of that company, give notice to the company stating his/her name, address, and full details of the shares registered in his/her name or in the name of a representative. (3) If any person ceases to be a substantial shareholder of any public company, such person shall, within thirty days of becoming aware thereof, give notice to the company stating his/her name, the date on which he/she ceased to be in the capacity of a substantial shareholder of that company, other details, and the reason why he/she ceased to be a substantial shareholder. (4) Every public company shall maintain a separate register for the purposes of subsections (1), (2), and (3). 51.

Register of shares, debentures, and loans: (1) Every company shall prepare a list of shareholders and debenture holders existing and removed up to thirty days before the annual general meeting, removed by the Nepal Acts Amendment Act, 2064. and shall keep it ready twenty-one days before the annual general meeting added by the first amendment.. (2) In the list under subsection (1), in addition to other matters, the following matters shall also be stated: (a) the authorized capital of the company and the number of shares, (b) the issued share capital of the company, (c) the paid-up capital of the company, (d) the amount called up per share, (e) the total amount of installments collected, (f) the total amount remaining uncollected, (g) the total amount paid as brokerage on shares or debentures, (h) if any share has been forfeited, the total number of such shares, the reason for forfeiture, and the date, (i) loans taken from banks, financial institutions, or any other person, or guarantees given by the company, added by the first amendment.(i1) if investment has been made in shares or debentures of another company, the name and registration number of such company and the amount of investment in shares or debentures, (j) the names and addresses of the existing directors. (3) The list under subsection (1) shall be signed by at least one director and sent to the office within thirty days from the date of the annual general meeting, and in the case of a company not holding an annual general meeting, if the company is to conduct transactions requiring approval from the relevant body under the prevailing law, within one year of receiving such approval, or if no approval is required, within one year of registration removed by the first amendment.. amended by the first amendment.(4) A company not holding a general meeting shall submit the list under subsection (1) to the office within six months from the end of the fiscal year. (5) Notwithstanding anything else written elsewhere in this section, if any company has included the details under subsection (2) in the report required to be submitted under section 78, such company need not send a separate list to the office under this section. 52. Lien on shares: The company may retain the shares registered in the name of shareholders and any dividends distributable thereon, and may deduct such amount from the dividends, for any amount remaining unpaid to the company for shares or any other amount payable to the company under law. 53.

Payment of amount for shares: (1) The amount for shares shall be paid and fully paid within the period called for in accordance with the articles. (2) When the company calls for installments under subsection (1), it shall give written notice in the prescribed format, specifying the amount of the installment to be paid by each shareholder, the time and place, allowing a period of at least thirty days. A public company shall also publish such notice in a national level daily newspaper at least amended by the first amendment.twice. (3) If any shareholder fails to pay the amount payable for shares within the period mentioned in subsection (2), the company shall give a further period of three months from the date of expiry of that period, stating that if the amount is paid within that period, it will be accepted along with interest at the prescribed rate, and if not paid even within that period, the shares shall be forfeited, clearly informing the relevant shareholder. In the case of a public company, such notice shall be published in a national level daily newspaper at least three times. If the installment is not paid even within the period of notice given accordingly, the company may retain in the name of such shareholder such number of shares as can be covered by the amount already paid for the shares in respect of which the notice was given, or any dividend retained, and forfeit the remaining shares or all shares.

Provided that, if the company has already become subject to winding up or insolvency before the forfeiture of shares, the amount remaining unpaid for the shares liable to be forfeited may be recovered as a debt under the prevailing law.

(4) When shares are forfeited under subsection (3), the board of directors may refund the amount already paid for such forfeited shares, and if any dividend on such shares has been retained, an amount equal thereto, or may give such number of shares as can be covered by such amount; and if the amount is to be refunded, it must be refunded within three months of the forfeiture.

(5) If the amount is not refunded within three months under subsection (4), interest on such amount shall also be paid.

(6) Shares forfeited under subsection (3) may, subject to the articles, be sold or cancelled by the board of directors in such manner as it deems reasonable.

(7) A company that has been operating at a profit for three consecutive years or more may, by passing a special resolution at a general meeting, determine that a part of its share capital for which payment has not been demanded shall not be demanded except when the company is wound up or becomes insolvent.

(8) After a special resolution is passed under subsection (6), the amount of share capital remaining to be demanded as per the resolution shall not be demanded except when the company is wound up or becomes insolvent, unless a further special resolution is passed at a general meeting to make a call. 54. Payment for jointly held shares: (1) The installment amount for jointly held shares shall be paid by each joint holder in proportion to their ownership.

(2) Unless there is a duly executed deed stating the share of each person in the shares taken under subsection (1), it shall be deemed that the share is held equally by as many persons in whose name the share is. 55. Person deemed entitled to shares or debentures: If a dispute arises regarding the ownership of shares or debentures issued by any company, unless otherwise proved, the person whose name is registered in the register of shares or debentures maintained by the company shall be deemed to be the person entitled to such shares or debentures. 56.

Company's right to alter share capital: (1) Subject to the provisions made in the articles, a company may, by passing a special resolution at a general meeting, alter its share capital in the following manner: (a) by increasing its authorized share capital by creating new shares of such amount as the company deems appropriate, (b) by consolidating or dividing all or part of the company's share capital into shares of a value greater or less than the face value, (c) by cancelling shares which have not been taken or agreed to be taken by any person up to the date of the resolution or which have been forfeited under subsection (3) of section 53, and thereby reducing the amount of the company's share capital by the value of such cancelled shares. (2) If a special resolution to alter capital under subsection (1) is passed, the memorandum and articles of the relevant company shall be deemed to have been amended to that extent removed by the Nepal Acts Amendment Act, 2064.. (3) The record of the resolution passed under subsection (1) and the amendment to the memorandum and articles shall be submitted to the office along with the prescribed fee, and the office shall, within seven days of such submission, record the alteration of capital and the amendment to (2) Notwithstanding anything contained in subsection (1), a company may purchase its own shares from the accumulated profits distributable as dividend, subject to informing the Office, in the following circumstances: (a) If the entire amount of the shares issued by the company has been paid up, (b) If the shares issued by a public company have been registered with the Securities Board, (c) If the provision to purchase its own shares is included in the articles of association of the concerned company, (d) If a special resolution has been passed at the general meeting of the concerned company authorizing the purchase of its own shares,

(e) If, after the company purchases its own shares, the amount of debt payable by the company does not exceed double the ratio of the capital and general reserve fund, Explanation: For the purpose of this clause, "debt amount" shall mean all secured and unsecured debt amounts borrowed by the company. (f) If the amount of its own shares to be purchased by the company does not exceed twenty percent of the company's total paid-up capital and general reserve fund, (g) If it is not contrary to the directives issued by the Office from time to time regarding the purchase of its own shares. (3) The resolution to be presented at the general meeting pursuant to clause (d) of subsection (2) must contain the following details: (a) The reason and necessity for purchasing its own shares, (b) Details of the assessment of the potential impact on the financial condition of the concerned company due to the purchase of its own shares, (c) The type of shares proposed to be purchased and their number, (d) The maximum or minimum amount required to purchase the shares pursuant to clause (c) and the financial source thereof, (e) The time period within which its own shares may be purchased, (f) The method of purchasing the shares, (g) Other necessary matters as prescribed by the Office and as required to be disclosed pursuant to the prevailing law regarding the purchase of its own shares. (4) If the special resolution pursuant to subsection (3) is passed by the general meeting, the concerned company may purchase its own shares within twelve months from the date of such passage by any of the following means: (a) By purchasing through the securities market, (b) By purchasing shares allocated to the company's employees from the concerned employees, (c) By purchasing proportionately from the existing shareholders. (5) If a company purchases its own shares pursuant to subsection (4), it shall inform the Office within thirty days from the date of such purchase of the number of shares purchased, the amount paid therefor, and other necessary details. (6) When purchasing its own shares pursuant to subsection (4), an amount equal to the face value of the shares purchased shall be set aside in a separate capital redemption reserve fund and deposited in that fund, and the amount of such fund shall be maintained as equivalent to paid-up capital. (7) If a company purchases its own shares pursuant to subsection (4), it must cancel the purchased shares within one hundred and twenty days from the date of such purchase. (8) After purchasing shares of any class pursuant to this section, the company shall not issue shares of the same class again for two years from the date of purchasing its own shares, except for issuing bonus shares or discharging its liabilities. (9) Notwithstanding anything contained elsewhere in this section, a public company shall not purchase its own shares in a manner that reduces the minimum number of shareholders or the minimum paid-up capital required to be maintained by such company. (10) Other circumstances in which a company may not purchase its own shares and other conditions to be complied with when purchasing its own shares shall be as prescribed.

62. Company Not to Provide Loan or Financial Assistance for Purchasing Its Shares: A company shall not provide a loan or any kind of financial assistance to any person for the purpose of purchasing or acquiring rights in any manner over shares of itself or its holding company Added by the First Amendment. or subsidiary company. Provided that nothing contained in this section shall prevent a company from providing a loan to its employees under an employee share scheme for the purpose of purchasing fully paid-up shares of the concerned company or its holding company, or acquiring ownership of such shares in any manner. 63. Approval Required to Commence Business: (1) A public company established under this Act shall not commence its business without obtaining approval to transact business. Added by the Act to Amend Some Nepal Acts relating to Improving the Economic and Business Environment and Enhancing Investment, 2024.Provided that it shall not be necessary to obtain approval to transact business when a private company that is already in operation is converted into a public company.

(2) To obtain approval pursuant to subsection (1), the founders of a public company shall submit an application to the Office including proof that the full amount called up from the amount agreed to be paid for

the shares subscribed by them has been paid.

(3) Upon receipt of an application pursuant to subsection (2), the Office shall grant approval to transact business if it is proved that the amount called up from the amount agreed to be paid for the shares subscribed by the founders has been paid. Provided that approval shall not be granted if the amount paid up for the shares is less than the amount mentioned in subsection (1) of section 11.

(4) Without obtaining approval to commence business pursuant to this section, no actions such as issuing a prospectus or creating any kind of liability shall be undertaken, except matters like holding an extraordinary general meeting, a meeting of the board of directors, or management of the company.

(5) Notwithstanding anything contained in subsection (2), in the case of a company conducting a specific business, approval to commence business shall not be granted until proof is submitted that any condition specified by the regulatory authority empowered to regulate such business pursuant to the prevailing law, while granting a license before the start of such business, has been fulfilled.

(6) Notwithstanding anything contained elsewhere in this section, a private company may commence its business as soon as it receives the certificate of registration from the Office.

65. Preference Shares: (1) A company may issue preference shares as provided in this Act, the memorandum, or the articles of association.

(2) Shares issued pursuant to subsection (1) shall not be convertible into ordinary shares except as provided in the articles of association.

(3) When issuing preference shares pursuant to subsection (1), the following matters, among others, must be stated:

(a) Whether or not the right to receive dividends before ordinary shares exists,
(b) The percentage of dividend that the preference shareholder is entitled to receive,
(c) Whether the dividend is cumulative or non-cumulative (distributed only in profit years),
(d) Whether or not preference is to be given in the repayment of share capital upon winding up of the company,
(e) Whether voting rights exist or not, and if voting rights exist, whether they are limited to matters concerning preference shares or extend to other matters as well,
(f) If voting rights extend to other matters pursuant to clause (e), the proportion of voting rights,
(g) Whether or not conversion into ordinary shares is possible,
(h) Whether the preference share capital is redeemable or irredeemable,
(i) Whether the preference shares are redeemed with or without a premium.

(4) If any preference shares are issued as redeemable, such shares shall not be redeemed until the full value thereof has been paid.

(5) Preference share capital shall not be redeemed except from the profits available for distribution as dividends or from the proceeds of a new share issue made for the purpose of redemption.

(6) If any redeemable preference shares issued are to be redeemed at a premium, a separate fund of an appropriate amount shall be provided from the company's profits or the company's share premium account for the purpose of redeeming such share capital.

(7) Except when the amount of redeemable preference shares is redeemed from the proceeds obtained by

issuing new shares pursuant to subsection (5), when redeeming preference share capital pursuant to this Act, an amount equal to the face value of the shares redeemed shall be set aside from the profits available for dividend distribution into a capital redemption reserve fund and deposited in that fund.

(8) The capital redemption reserve fund created pursuant to subsection (7) shall be maintained as equivalent to paid-up capital.

(9) After the completion of the redemption process, any preference shares redeemed pursuant to this section shall be deemed to be cancelled automatically.

(10) When a company redeems preference shares, it shall, subject to this section, follow the conditions and procedures specified in the company's articles of association, and upon such redemption of preference share capital, the authorized share capital of the company shall not be deemed to have been reduced for that reason.

(11) If a company redeems or proposes to redeem any preference shares, it may issue new shares of an amount equal to the face value of the shares so redeemed or to be redeemed.

(12) A company shall give notice thereof to the Office within one month of redeeming any preference shares, and upon receipt of such notice, the Office shall record it in the company's register.

(13) Notwithstanding anything contained elsewhere in this section, a company may issue new shares from the capital redemption reserve fund created pursuant to subsection (7) to its shareholders in the form of fully paid-up bonus shares.

66. Restriction on Minors and Persons Incompetent to Contract as Founders: (1) A minor below the age of sixteen years and a person incompetent to contract pursuant to law shall not be a founder of a company. Provided that nothing in this section shall be deemed to prevent a minor or a person incompetent to contract pursuant to law from acquiring rights to shares of a company purchased by a founder by inheritance or by operation of law.

(2) When a minor or a person incompetent to contract pursuant to law has to purchase or sell shares or debentures of any company, such transaction shall be carried out by the father, mother, husband, wife, or guardian or curator appointed pursuant to law of such person. 66A. Employee Share Sale Scheme: (1) A company may implement a scheme to issue or offer shares to the directors or employees of the company, or its subsidiary or holding company, or a subsidiary of the company's holding company, enabling them to purchase shares. Provided that in the case of a director, such director must be in regular employment of the concerned company.

(2) The right to purchase or not to purchase shares under the scheme pursuant to subsection (1) shall vest in the concerned director or employee. Added by the Act to Amend Some Nepal Acts relating to Improving the Economic and Business Environment and Enhancing Investment, 2024.

(3) Before implementing a scheme pursuant to subsection (1), a special resolution must be passed by the general meeting of the company.

(4) The scheme pursuant to subsection (1) shall include the following details:

(a) The number of shares to be issued or offered for purchase,
(b) Details of the employees eligible to participate in such scheme,
(c) The period during which shares are available for purchase,

(d) The purchase price of the shares,
(e) The number of shares each employee is entitled to purchase,
(f) Other appropriate matters.

(5) Shares purchased by an employee pursuant to this section shall not be sold or transferred for a period determined by the concerned company.

(6) An employee who is in service during the period the shares are available for purchase may participate in the scheme pursuant to subsection (1).

(7) If any employee does not purchase shares within the period they are available for purchase, the number of shares not so purchased may be made available for purchase by other employees.

(8) The report to be prepared pursuant to subsection (4) of section 109 shall also include details of the shares issued and purchased under the employee share sale scheme. Chapter-5

Company Meetings

67.

General Meeting of a Company: (1) The general meetings of a company shall be as follows: (a) Annual General Meeting, (b) Extraordinary General Meeting. (2) For the purpose of holding an annual general meeting of a public company, notice shall be sent at least twenty-one days in advance, and for holding an extraordinary general meeting, at least fifteen days in advance, to the shareholders at the address provided by them to the company, stating the place, date, and matters to be discussed thereof. Notice of such meeting shall also be published in a national daily newspaper at least twice. Provided that when calling a general meeting that was adjourned, if no new matters are to be discussed at such meeting, notice of such meeting published in a national daily newspaper at least seven days in advance shall be deemed to be proper notice. (3) Except in the following circumstances, no decision shall be made at a general meeting on matters not previously notified pursuant to subsection (2):- (a) If shareholders representing sixty-seven percent of the total shares of the company entitled to vote at a general meeting, present in person or by proxy, vote in favor of a decision on a matter, except as otherwise provided in other sections of this Act, (b) If a matter was notified for discussion at any adjourned general meeting. (4) Except where the Office has given prior approval to hold the meeting elsewhere, the general meeting of a public company shall be held in the district where the registered office of such company is located or in a place adjoining the district of the registered office that is convenient for the majority of shareholders. Provided that, unless otherwise provided in the articles of association of a private company, the general meeting of such company may be held at any place within or outside the Kingdom of Nepal. (5) The company shall keep at the meeting venue a list containing the names, addresses, and number of shares held by the existing shareholders for inspection by the shareholders. (6) In a general meeting, discussion and decision on the matters included in the agenda sent with the notice of such meeting shall be taken up first. (7) The person chairing the general meeting may adjourn the meeting as necessary. In the meeting called after such adjournment, discussion and decision shall be held on any matter for which notice has been given pursuant to this Act before or after the date of the meeting that was adjourned. (8) The meeting held earlier and the meeting held after it was adjourned shall have equal authority.

A resolution passed in an adjourned meeting shall be deemed to have been passed on the date on which the adjourned meeting was held.

(9) If any incorporated body has purchased shares of a company, a person appointed by such incorporated body shall be entitled to participate and vote in the general meeting of the company on behalf of such body.

(10) No act or proceeding at any general meeting shall be invalid or void merely on the ground that notice of the general meeting was inadvertently omitted to be sent to the address of a shareholder of a listed company, or that a shareholder did not receive the notice sent to the address provided by such shareholder to the company.

(11) Notwithstanding anything contained elsewhere in this section, the general meeting of a private company and its procedures shall be as provided in its articles of association or in a unanimous agreement. In the absence of such provision, the provisions of this Act shall apply.

(12) Other procedures relating to the general meeting shall be as stated in the company's articles of association. 68. Directors to be Present: Amended by the First Amendment. (1) Every director of a company shall be personally present at the general meeting.

(2) Notwithstanding anything contained in subsection (1), if a director of a company is unable to be personally present at the general meeting due to circumstances beyond control, such director may attend and cast his vote through video conferencing or other similar technology. 69. Validity of Meeting: Before the commencement of every general meeting, the shareholders present at such meeting shall ascertain whether the meeting has been called in accordance with this Act and the articles of association, and even if any other legal formality has not been complied with, if notice has been sent to all shareholders pursuant to subsection (2) of section 67 and the meeting, having the quorum pursuant to section 73, agrees to proceed with the meeting, such general meeting shall be deemed to have been duly called. 70.

Circumstances for Not Allowing Participation and Voting in Meeting: (1) No person shall be entitled to participate and vote in person or by proxy in a general meeting in the capacity of a shareholder in any discussion relating to any condition or restriction existing or to be created between himself and the company. (2) No director or his associate or representative shall be entitled to vote in any discussion at a general meeting relating to accountability for any act done or omitted to be done or done improperly by him, or relating to his appointment, removal from office, transfer, suspension, remuneration, allowance or bonus, or reduction or increase thereof, or relating to any agreement, contract or concession involving his employment or his personal concern or interest. (3) A shareholder who has not paid the amount called up on shares shall not be entitled to participate and vote in a general meeting. (4) If a shareholder has appointed a director of the concerned company as a proxy pursuant to subsection (2) of section 71, such director shall not be entitled to vote in the general meeting in the capacity of a proxy for any person on any matter involving his personal interest or concern or on matters relating to his own appointment. (5) Notwithstanding anything contained in this Act or the prevailing law, if a shareholder who has taken a loan by pledging or mortgaging his shares in a bank or financial institution established pursuant to the prevailing law fails to repay such loan, and the concerned bank or financial institution writes to the company requesting that such shareholder be restrained from voting on the shares, the concerned company shall restrain such shareholder from voting for the period during which the loan taken against the shares remains unpaid. 71.

Right to Vote at a General Meeting: (1) Except as otherwise provided in this Act or the company's articles of association, only a person whose name is registered as a shareholder in the register of shareholders shall, subject to section 70, have the right to vote at a general meeting, counting one vote for every share held by him. (2) Subject to this section, any shareholder may appoint any person as his proxy to attend and vote at a general meeting, except where the company's articles of association prohibit a proxy from exercising the voting right. (3) Subject to subsection (1) or (2), if a shareholder entitled to vote is unable to attend the meeting in person, he may appoint a proxy to vote on his behalf by signing a letter of appointment in the format as prescribed, and the proxy so appointed shall, subject to the provisions made in section 72, be entitled to participate or vote at the meeting. (4) Where share is held jointly in the names of more than one person, only the vote or proxy paper given by the partner appointed by such joint holders or his proxy appointed pursuant to subsection (2), and in the absence of such appointment of a partner, only the vote or proxy paper given by the partner whose name stands first in the register of shareholders maintained pursuant to section 46, shall be valid. 72. Provision for Voting in Election of Directors: (1) When voting for the election of directors, unless otherwise provided in the articles of association, every shareholder shall have the right to vote on the basis of a number of votes equal to the number of shares held by him multiplied by the number of directors to be appointed, and the shareholder so voting may cast all his votes in favor of a single candidate or distribute them among more than one candidate as he may specify. (2) An incorporated body entitled to appoint directors pursuant to this Act or the articles of association may appoint directors in proportion to the shares held by it, and in such case, it shall not be entitled to vote in the election. Provided that an incorporated body which cannot appoint even a single director in proportion to the number of shares and the total number of directors, or which does not appoint directors by exercising the right under this subsection, may participate in the election of directors representing shareholders like other shareholders, vote, or field candidates up to the number of directors it could potentially elect in proportion to the shares held by such body. 73.

Quorum: (1) The quorum for a general meeting of a private company shall be as stated in the articles of association of such company. (2) Unless a larger number is specified for the quorum in the company's articles of association, no business shall be transacted at a general meeting of a public company unless at least three shareholders represent more than fifty percent of the total issued shares, present in person or by proxy. (3) If a meeting cannot be held due to lack of quorum pursuant to subsection (2), and another meeting is called with a notice of at least seven days, no impediment shall occur to holding the meeting if at least three shareholders represent twenty-five percent of the total issued shares of the company, present in person or by proxy. (4) Notwithstanding anything contained elsewhere in this section, for a company established as mentioned in the proviso to subsection (2) of section 3 or a company established pursuant to subsection (1) of section 173, the presence of three shareholders as mentioned in subsection (2) or (3) shall not be mandatory. 74. Discussion and Decision: (1) The general meeting shall be presided over by the chairperson of the board of directors, and in his absence, by a person nominated by the directors from amongst themselves. (2) All matters to be discussed in the general meeting shall be presented in the form of resolutions. The chairperson of the meeting shall declare whether a resolution has been passed or not. (3) The opinion of the majority of shareholders present and voting on each matter shall be deemed the decision of the meeting. While taking such opinion, the chairperson may adopt appropriate procedures including a show of hands, voice vote, division of shareholders, use of ballot papers. Provided that in the case of a special resolution, it shall be deemed approved by the meeting only if shareholders representing seventy-five percent of the shares present at the meeting vote in favor of the resolution. (4) In case the votes are equally divided for and against a matter in the general meeting, the person presiding over the meeting shall have a casting vote. Provided that he shall not be deprived of his right to vote in the capacity of a shareholder. 75. Minutes to be Kept: (1) Every company shall keep minutes of the proceedings of the general meeting in a separate book, and such minutes shall be signed by the chairperson of the concerned meeting and, if there is a company secretary, by the company secretary.

In the case of a company without a company secretary, such minutes shall be signed by the chairperson of the concerned meeting and by one representative of the shareholders appointed by the majority of the general meeting. (2) While keeping minutes pursuant to subsection (1), it shall state all matters including how the meeting notice was issued, how many shareholders were present, Added by the First Amendment. the number of directors attending the general meeting through video conferencing or other similar technology, what percentage of total shares was represented, what decisions were taken at the meeting, and if voting took place, what was the result of the voting. (3) Minutes written pursuant to this section shall be sent to the shareholders within thirty days of the general meeting. Provided that if a company publishes such minutes in a national daily newspaper, it shall not be required to send them individually to shareholders. (4) Minutes of the proceedings of the general meeting kept pursuant to subsection (1) shall be kept at the company's registered office. If any shareholder wishes to inspect such minutes during office hours, the company secretary or other employee designated by the company shall allow inspection. (5) If any shareholder wishes to take a copy of the minutes of the proceedings of the general meeting, the company shall provide a copy upon charging a fee as specified in the articles of association. 76. Annual General Meeting: (1) Every public company shall hold its first annual general meeting within one year of obtaining the license to commence business, and thereafter shall hold an annual general meeting within six months of the completion of the company's fiscal year each year. (2) If a public company fails to call an annual general meeting even within three months after the expiry of the period mentioned in subsection (1), the Office may direct such company to call an annual general meeting. (3) If the company fails to call an annual general meeting even within three months of receiving the direction under subsection (2), any shareholder may file a petition in the court stating such fact.

Upon filing such petition, the court may order the holding of an annual general meeting or issue other appropriate orders.

(4) Notwithstanding anything contained in subsections (1) and (2) of section 73, in a general meeting called pursuant to a court order under subsection (3), the quorum shall be deemed to be fulfilled regardless of the number of shareholders present. Added by the First Amendment. (5) The provisions of subsections (1), (2), (3), and (4) shall also apply in the case of a private company whose articles of association have provided for holding an annual general meeting. 77. Matters to be Presented and Decided at the Annual General Meeting: (1) At the annual general meeting of every public company, the directors shall present the audited annual financial statements, the auditor's report, and the directors' report.

(2) If so desired by a shareholder or shareholders representing at least five percent of the total voting rights, they may, before the notice pursuant to subsection (2) of section 67 is issued, submit a petition to the directors to have any matter presented for discussion and decision at the annual general meeting.

(3) Every public company shall, at least twenty-one days before the annual general meeting, make arrangements for shareholders to inspect and obtain the annual financial statements pursuant to section 84, the directors' report, and the auditor's report, and publish a notice thereof for information in a national daily newspaper.

(4) The details and reports mentioned in subsection (3) may also be disseminated through electronic communication means as required.

(5) If any shareholder requests the auditor's report, annual financial statements, and directors' report mentioned in subsection (3), the company shall provide such reports or statements to such shareholder.

(6) Except as otherwise provided in this Act, at the annual general meeting of the company, resolutions may

be presented and decisions may be made on matters including profits to be distributed to shareholders, appointment and remuneration of directors, appointment and remuneration of auditors, or other matters which this Act or the articles of association provide shall be decided by the general meeting. Provided that when deciding on the profits to be distributed to shareholders, the rate of such profit shall not be decided at a rate exceeding that determined by the board of directors. 78. Report to be Submitted to the Office: Every public company shall prepare a report stating the following matters and submit it to the Office at least twenty-one days before the annual general meeting.

Such report must be approved by the board of directors and certified by the company's auditor:- (a) Number of shares issued, (b) Number of issued shares that are paid up and unpaid, (c) Details of the directors, managing director, auditor, chief executive officer, manager of the company and the amount of remuneration, allowances, and facilities paid to them, (d) Name of the person or incorporated body holding five percent or more of the paid-up capital of the company and details of shares or debentures held in their names, (e) Total amount received from the sale of shares and details of new shares and debentures purchased and issued by the company in the relevant fiscal year, (f) Amounts remaining to be paid to the company by a director or substantial shareholder or his close relatives, (g) Amount paid or payable for the sale of shares or any other work, (h) Loans taken from banks and financial institutions and the principal and interest amounts remaining to be paid, (i) Amounts claimed to be receivable by the company or payable by the company to other persons, and if there are ongoing court cases relating to this matter, details thereof, (j) Number of employees or workers engaged in management and at other levels of the company, (k) Number of foreigners employed in management and at other levels of the company and the remuneration, allowances, and facilities paid to them, (l) If any agreement has been made between the company and any foreign entity or persons regarding investment, management, or technical service or other matters for a period exceeding one year, details thereof and details of dividends, commissions, fees, charges, and royalties etc. paid pursuant to such agreement in the relevant fiscal year, (m) Details of management expenses of the company for one fiscal year, (n) Amount of dividend remaining unclaimed by shareholders, (o) Declaration that the company has fully complied with this Act and the prevailing law, (p) Other necessary matters. 79. Preparation of Documents for Annual General Meeting: Every public company shall prepare the annual financial statements, directors' report, auditor's report, report prepared pursuant to section 78, and resolutions to be presented at the meeting to be discussed at the annual general meeting, at least twenty-one days before the meeting, and keep them at the company's registered office for inspection by shareholders, and if any shareholder requests a copy thereof by application, one copy shall be given to him.

The Office shall keep the details so submitted safely in the electronic records of the concerned company. 81. Penalty for Non-submission of Documents: (1) Where a time limit is specified in this Act for submitting any statement, notice, or information required to be provided to the Office by the company, or for submitting information required to be provided to the company by an officer or shareholder, the director, officer, or shareholder responsible for providing such statement, notice, or information shall provide it to the Office or the company within such time limit.

(2) If the statement, notice, information, or response pursuant to section 51, 78, 80, 120, 131, or 156 is not provided within the time limit specified in subsection (1) Amended by the Act to Amend Some Nepal Acts, 2007., the Registrar shall impose a fine on the directors or officers of the company as follows:-

(a) For a period up to three months after the expiry of the deadline, one thousand rupees for a company with a paid-up capital of up to twenty-five lakh rupees, two thousand rupees for a company with a paid-up capital of up to one crore rupees, and five thousand rupees for a company with a paid-up capital exceeding that,

(b) For a further period up to three months from the date of expiry of the period under clause (a), one thousand five hundred rupees for a company with a paid-up capital of up to twenty-five lakh rupees, three thousand rupees for a company with a paid-up capital of up to one crore rupees, and seven thousand rupees for a company with a paid-up capital exceeding that,
(c) For a further period up to six months after the expiry of the period under clause (b), two thousand five hundred rupees for a company with a paid-up capital of up to twenty-five lakh rupees, five thousand rupees for a company with a paid-up capital of up to one crore rupees, and ten thousand rupees for a company with a paid-up capital exceeding that,
(d) After the expiry of the period under clause (c), for each year, five thousand rupees for a company with a paid-up capital of up to twenty-five lakh rupees, ten thousand rupees for a company with a paid-up capital of up to one crore rupees, and twenty thousand rupees for a company with a paid-up capital exceeding that.

(3) In the case of a non-profit distributing company failing to provide such statement, notice, or information within the time limit specified in subsection (1), the director or officer of such company shall be subject to the same fine applicable to a company with a paid-up capital of up to one crore rupees.

(4) Any director, officer, or shareholder liable to pay the fine under subsection (2) shall deposit such fine at the Office and submit the documents required to be submitted to the Office or the concerned company.

(5) When calculating the period after the expiry of the time limit under subsection (2), it shall be calculated from the date of commencement of this Act.

(6) If other statements, notices, or information required to be sent to the Office under this Act are not provided, the directors, officers, or shareholders of such company shall be fined at the rate of two hundred rupees for each month after the expiry of one month from the deadline for providing such statement, notice, or information.

Provided that such fine shall not exceed one thousand rupees in one fiscal year.

(7) Added by the Act to Amend Some Nepal Acts relating to Improving the Economic and Business Environment and Enhancing Investment, 2024. Upon the commencement of this subsection, if any company submits outstanding statements, notices, or information under this Act to the Office by the end of Ashadh 2082 (mid-July 2025), a ninety percent discount shall be given on the fine for late submission of statements, notices, or information under this Act. 82. Extraordinary General Meeting: (1) The board of directors of a company may call an extraordinary general meeting if deemed necessary.

(2) If, during the examination of the company's accounts, an auditor finds it necessary to call an extraordinary general meeting for any reason, he may request the board of directors to call such meeting, and if the board of directors fails to call such meeting accordingly, the auditor may file an application stating the same to the Office, and upon receipt of such application, the Office may call an extraordinary general meeting of the company.

(3) If shareholders holding at least ten percent of the paid-up capital of the company, or at least twenty-five percent of the total number of shareholders, submit an application at the company's registered office requesting an extraordinary general meeting stating the reasons, the board of directors shall call an extraordinary general meeting to be held within a maximum of thirty days from the date of such request.

Added by the First Amendment.

(4) If the board of directors fails to call an extraordinary general meeting within the period specified in

subsection (3) Amended by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2024 (2081).Provided, however, that:-

(1) Such a person of one private company may be a director of another private company having a similar object.

(2) Such a person of a holding company may be a director of a subsidiary company, and such a person of a subsidiary company may be a director of the holding company.

(3) Among public companies, except for public companies related to the banking, financial and insurance sectors, such a person of one public company may be a director of another public company having a similar object.

(ja) A shareholder who has been determined to have an outstanding amount payable to the concerned company,

(jha) In the case of a person punished pursuant to Section 160, if one year has not elapsed from the date of punishment, or in the case of a person punished pursuant to Section 161, if six months have not elapsed from the date of punishment,

(nya) In the case of a company conducting a specific business, if any qualification has been prescribed by the prevailing law, such qualification is not met, or if any disqualification has been prescribed, such disqualification exists,

(ta) Being a director of any company which has failed to submit the details and reports required to be submitted to the office under this Act for three consecutive fiscal years,

Added by the first amendment.(ta1) If the penalty amount pursuant to sub-section (2) of Section 81 remains unpaid,

(tha) Holding the position of a director who receives remuneration or any facility other than meeting allowance and actual expenses incurred for coming to, going from, and staying at the meeting venue, from any other listed company.

(2) The following person shall not be eligible for appointment to the position of independent director:-

(ka) A person as described in sub-section (1),

(kha) A shareholder of the concerned company,

(ga) A person who has not obtained at least a postgraduate degree in a subject related to the business dealings of the concerned company and has not gained at least ten years of experience in the related field or in company management work, or who has not obtained at least a postgraduate degree in economics, finance, management, accounting, statistics, commerce, business administration or law and has not gained at least ten years of experience in the related field,

(gha) A person who is an officer, auditor, employee of the concerned company, or for whom three years have not elapsed since retirement from any such position,

(nga) A close relative of an officer of the concerned company,

(cha) An auditor of the concerned company or his/her partner.

(3) A person shall not remain in the position of director in the following circumstances:-

(ka) If a condition arises that prevents appointment to the position of director as described in sub-section (1) or (2),

(kha) If the general meeting passes a proposal to remove the director from the position,

(ga) If the resignation tendered by the director from his/her position is accepted by the board of directors,

(gha) If it is determined by a court that the director has committed dishonesty or mala fide intent in the affairs of the company,

(nga) If it is determined by a court that the director has performed any act prescribed as not to be done by a director under this Act, or has failed to perform any act prescribed as to be done,

(cha) If, according to prevailing law, a loan from a bank or financial institution remains unpaid and the person has been placed on a blacklist by the authorized body, and the blacklist period is still in effect.

(4) Before disqualifying any person from being appointed to or remaining in the position of director, the company shall give such person notice thereof and provide a reasonable opportunity to submit a defense.

90. Term of Office of Directors: (1) The term of office of a director of a private company shall be as provided in the articles of association.

(2) The term of office of a director of a public company may be a maximum of four years, as specified in the articles of association. Provided, however, that:

(1) A director appointed by the Government of Nepal or a corporate body shall remain in office for such period as desired by the Government of Nepal or the appointing body.

(2) A director appointed pursuant to serial numbers (1) and (2) of the proviso to sub-section (1) of Section 87 shall remain in office only until the annual general meeting.

(3) If the office of a director becomes vacant in the interim before the completion of his/her term, the term of the director appointed to that position shall be only for the remaining term of the director whose vacancy was filled.

(3) Unless otherwise provided in the prevailing law or articles of association, a person who retires from the position of director upon completion of one term may be reappointed to the position of director. 91. Remuneration, Allowances, Bonus, etc. of Directors: (1) The meeting allowance, monthly salary, daily allowance and travel expenses or other facilities payable to directors for attending meetings shall be as determined by the general meeting.

(2) The general meeting of a company may, by passing a special resolution, give a bonus not exceeding three percent of the profit remaining after deducting the income tax payable by the company, as an incentive to directors who work full-time in the company. Provided, however, that if, upon final determination of income tax according to prevailing law, the company is required to pay additional income tax, the company shall recover such additional tax amount proportionally from the directors receiving the bonus, up to the limit of the amount received by them as bonus.

(3) Until the first general meeting, the board of directors may determine the remuneration and facilities of the managing director or other directors working full-time in the company.

(4) Except where approved by the general meeting of the company, no director of a listed company shall be paid any kind of compensation by the company upon his/her removal from office or retirement. 92.

Information to be Provided by Directors: (1) Within Amended by the first amendment.fifteen days of assuming the office of director, a director shall give written notice to the company of the following matters:- (ka) If the director or his/her close relative has direct involvement or any private interest in any kind of purchase, sale or other type of contract or lease related to the business of the company, Explanation: For the purpose of this clause, "direct involvement" shall also be deemed to include a situation where the director or his/her close relative is a founder, or holds more than ten percent shares of a company, private firm or partnership firm, or is a director of a company involved in such transaction. (kha) If the director has any kind of interest in relation to the appointment of the managing director, company secretary, or officer of the company, (ga) If the director is a director of any other company, (gha) If the director has dealt in shares or debentures of the company or its holding or subsidiary company, details of such transaction. (2) When providing information pursuant to sub-section (1), if there is any written agreement between the company and the director or his/her close relative, a copy of such agreement shall be submitted, and if no such agreement exists, the main and essential details related to the transaction, interest or involvement shall be disclosed. (3) The information pursuant to sub-section (1) shall be submitted by the company to the office within seven days of receipt, and upon receiving such information, the office shall record it in a separate register maintained for that purpose. (4) If a director has, directly or indirectly, any interest in any kind of contract, lease, transaction or agreement made or to be made with the concerned company or its subsidiary company, or if any matter likely to create an interest comes to his/her knowledge, he/she shall, as soon as possible, inform the company thereof, specifying the extent and nature of such interest. (5) If a director gives written notice to the company that he/she is to be regarded as having a private interest in a transaction with a specific person, he/she shall be deemed to have given notice of his/her private interest in relation to any transaction or contract made with that person. 93.

Transactions with a Company in which a Director is Interested: (1) Except as otherwise provided in this section, no public company shall, without the approval of the general meeting, and no subsidiary company shall, without the approval of the general meeting of its holding company, enter into a material transaction with any director of the company or his/her close relative or substantial shareholder or Added by the first amendment.any other firm, company or other corporate body in which the director, close relative of the director or substantial shareholder has substantial shareholding. Explanation: For the purpose of this section, "material transaction" shall be deemed to mean the purchase, sale, dealing in any goods or services, or contract or lease related transaction, the value of which at the time of transaction exceeds one hundred thousand rupees or five percent of the total assets of the company, whichever is lower, and such term also includes a rental transaction of one hundred twenty thousand rupees or more per annum. (2) If any transaction is made in contravention of sub-section (1), any amount or benefit received directly or indirectly from such transaction shall be refunded to the company, and if the company has suffered any loss or damage from such transaction, the person deriving benefit from such transaction shall also compensate for the same. (3) Notwithstanding anything contained elsewhere in this section, the provisions of sub-section (1) shall not apply to tangible property acquired as follows:- (ka) When the holding company acquires such property from its wholly-owned subsidiary company, (kha) When a wholly-owned subsidiary company of a holding company acquires such property from another wholly-owned subsidiary of the same holding company, (ga) When transacting at the prevailing market price in the ordinary course of the company's business. 94.

Directors to Report on Shares: (1) While a person is in the position of director, if he/she acquires any right or interest in any manner in the shares or debentures of that company or its subsidiary or holding company or other subsidiary of the holding company, he/she shall give the following information to the company:- (ka) The nature of his/her right, (kha) Details of the number of shares of each class and the amount of debentures of each class in which he/she has a right or interest during his/her tenure as director in the concerned company or other company. (2) If the following circumstances arise, a director of the company shall give written notice thereof to the company of which he/she is a director within fifteen days of the circumstance coming to his/her knowledge:- (ka) If for any reason he/she acquires or is about to acquire, or his/her right is about to cease, in shares or debentures of the company of which he/she is a director or its subsidiary or holding company or other subsidiary of the holding company, (kha) If he/she makes any agreement to sell shares or debentures as referred to in clause (ka) held in his/her name, (ga) If he/she transfers to any other person the right granted by the company of which he/she is a director to purchase shares or debentures of that company, (gha) If the subsidiary or holding company of the company of which he/she is a director, or a subsidiary of such company or another subsidiary of the holding company, grants a right to purchase shares or debentures of that company, (nga) If he/she transfers to any other person the right to purchase shares or debentures of the company referred to in clause (gha). (3) When sending information to the company pursuant to sub-section (2), the number, amount and class of shares or debentures shall be clearly stated. (4) The company shall maintain a separate register for recording the information received pursuant to sub-sections (2) and (3). (5) The provisions of this section shall apply to the close relative of a director in the same manner as to the director. 95.

Powers and Duties of the Board of Directors: (1) Subject to the matters stated in this Act and the articles of association and the decisions of the general meeting, the management of the entire business of the company, the exercise of powers and the performance of duties shall be carried out by the directors collectively through the board of directors. (2) Except in accordance with a decision of the general meeting, no director of a public company shall, through the company of which he/she is a director, do any act that results in personal benefit to himself/herself. Provided, however, that a private company may make reasonable provision regarding the benefits that a director may receive through the company as stated in the memorandum and articles of association or a unanimous agreement. (3) Except as otherwise provided in this Act, the memorandum and articles of association of the company, or in the case of a private company, a unanimous agreement, the board of directors may, by delegating all or some of its powers, appoint a representative by authorizing any director among themselves or any employee of the company, either alone or jointly, to perform any act on behalf of the company, to do paperwork, to sign bills of exchange, cheques, etc.

When so delegating powers, at least one director and, if there is a company secretary, he/she shall certify the same in accordance with the decision of the board of directors.

(4) The company may recover from the director or representative any loss or damage caused to the company by any act performed by a director of the company or a person acting as a representative exceeding his/her authority.

(5) If any person knowingly or having reason to believe that a director or a representative under sub-section (3) is about to enter into a transaction for his/her personal interest or to cause loss or damage to the company, and still enters into any transaction with such director or representative, such person shall not be entitled to make any claim against the company in respect of such transaction.

(6) Notwithstanding anything contained in sub-section (3), the board of directors shall not delegate the

following powers vested in the company, and such powers shall be exercised only in accordance with a resolution passed at a meeting of the board of directors:

(ka) The power to call for payment of unpaid amounts on shares,

(kha) The power to issue debentures,

(ga) The power to borrow loans or debts other than through debentures,

(gha) The power to invest funds held in the company's treasury,

(nga) The power to grant loans.

(7) The provision of clause (nga) of sub-section (6) shall not apply to loans granted and deposits accepted by companies engaged in banking and financial transactions in the ordinary course of business.

(8) If the board of directors deems it necessary to form a sub-committee to get a specific task done, it may form one or more sub-committees as required and get such task done. 96.

Appointment of Managing Director and Management of Company: (1) Subject to the articles of association, the directors may appoint one of themselves as managing director. (2) The functions, duties and powers of the managing director shall be as stated in the articles of association or as determined by the board of directors. (3) When appointing the managing director appointed pursuant to sub-section (1) or another director taking charge of the management of the company, a written agreement shall be made determining the terms of appointment, remuneration and facilities, and no facility other than the remuneration and facilities specified in such agreement and other facilities determined by the general meeting shall be given or paid. (4) The term of the agreement pursuant to sub-section (3) shall not exceed four years at a time. (5) Arrangements shall be made so that shareholders can inspect the agreement made with directors pursuant to sub-section (3) free of charge. (6) A director who is receiving regular remuneration or facility from one listed company, other than meeting allowance, shall not be appointed to the position of managing director in another listed company with entitlement to regular remuneration or facility. 97. Meeting of Board of Directors: (1) Meetings of the board of directors of a private company shall be held as stated in the articles of association. (2) Meetings of the board of directors of a public company shall be held at least six times a year. Provided, however, that the interval between two meetings shall not exceed three months. (3) Directors must attend meetings of the board of directors in person. Attendance by a representative of a director shall not be valid. (4) No meeting of the board of directors shall be held unless at least fifty-one percent of the total number of directors are present. Provided, however, that a director who is not permitted to participate in the discussion of any subject to be discussed at a meeting of the board of directors under this Act shall not be counted for the purpose of this sub-section. (5) If a meeting of the board of directors cannot be completed due to lack of the number of directors specified in sub-section (4), another meeting may be called with at least three days' notice. If the number of directors specified in sub-section (4) is not present at that meeting as well, the proceedings and decisions of the directors present shall be valid. (6) In a meeting of the board of directors, the decision of the majority shall prevail, and in case of a tie of votes, the chairperson may also give a casting vote in addition to the vote given in the capacity of a director.

Provided, however, that no director shall participate in the discussion or vote on any subject in which he/she has a personal concern or interest at a meeting of the board of directors.

(7) A separate record (minutes) of the directors present at the meeting, the subjects discussed, and the decisions made in relation thereto shall be maintained, and such minutes shall be signed by at least fifty-one

percent of all the directors present at the meeting. Provided, however, that if any member expresses an opinion contrary to or different from the decision while discussing any subject, the same may be recorded in the minutes of the meeting.

(8) The decision shall not be deemed invalid merely because a member has not signed it.

(9) Notwithstanding anything contained in sub-sections (3), (4), (5) and (6), unless expressly prohibited by the memorandum or articles of association, if all members of the board of directors or any sub-committee of directors agree in writing in relation to any work or decision that the board of directors or sub-committee may do, such agreement may be recorded as minutes and such work may be done without a meeting also.

(10) An agreement pursuant to sub-section (9) shall be deemed equivalent to a decision of a meeting of the board of directors. 98. Notice of Meeting of Board of Directors: (1) Unless otherwise provided in the articles of association of the company, a meeting of the board of directors shall be called by the company secretary or the chairperson of the board or the chief executive officer of the company.

(2) Notwithstanding anything contained in sub-section (1), if at least twenty-five percent of the total number of directors request in writing, specifying the subject to be discussed at the meeting, that a meeting of the board of directors be called, the chairperson shall call a meeting of the board to be held within Amended by the first amendment.fifteen days of receiving such request. If the meeting of the board of directors is not called within that period, the concerned director(s) making the request may themselves call a meeting of the board of directors.

(3) If any provision has been made in the articles of association of the company regarding the notice of a meeting of the board of directors, it shall be in accordance with that. If no such provision has been made, the notice and the subject of discussion of the meeting of the board of directors shall be sent in writing to each director at the address provided by him/her to the company, and such notice may also be given through electronic means of communication. 99.

Accountability and Liability of Directors: (1) A director of a company shall not do any act through the company or in the course of the company's work that results in personal benefit. (2) If any director has taken personal benefit in the course of the company's business in contravention of sub-section (1), the company shall recover that amount from such director as if it were a loan. (3) After any person is appointed as a director of a public company, he/she shall, before assuming office, take an oath of confidentiality and honesty in the prescribed format. (4) Every director and officer of the company shall, while performing their official duties, act honestly and in good faith with due regard to the interest and welfare of the company, and shall exercise the care, caution, intelligence, skill and diligence of a person of ordinary prudence and knowledge. (5) The company may recover compensation for any loss or damage caused to the company by a director who, with mala fide intent in contravention of sub-section (4), conducts acts in a manner likely to cause loss or damage to the company. (6) It shall be the duty of every director to comply with the provisions of this Act, the memorandum of association, articles of association and unanimous agreement of the company. 100. Information on Securities: (1) If shares or debentures of a company are listed with the organization operating the securities market, after the director informs the company pursuant to Section 94 regarding such shares or debentures, the company shall immediately give notice thereof to such organization. (2) Such organization shall publish the information received pursuant to sub-section (1) in such manner as it deems appropriate. 101. Prohibition on Providing Loans to Officers or Shareholders: (1) A company shall not provide any loan or financial assistance to its officers, substantial shareholders or Amended by the first amendment.officers, substantial shareholders of the holding company or subsidiary company, or close relatives of any of them, and shall not give any guarantee or provide security for loans taken by such officers or shareholders or close relatives elsewhere. Provided, however, that this provision shall not apply to loans or facilities given to employees of the company according to the company's rules, or to loans or guarantees provided in the ordinary course of business by any bank or financial institution, unless prohibited by prevailing law. (2) Any loan received by any person mentioned in sub-section (1) from the company before the commencement of this Act shall be fully repaid within Ashwin 22, 2065 B.S. (October 8, 2008). 102.

Officers Not to Give False Statements: If an officer of a company, by intentionally giving false statements in the general meeting of the company regarding the actual financial position of the company, induces the shareholders of the company to distribute dividends in excess of what can be distributed from profits, thereby affecting the company's capital, the officer giving such false statements shall be personally liable for such act. 103. Transactions with Other Persons and Company's Authority (Ultra Vires): (1) Any transaction made by a company with another person based on any matter stated in the memorandum of association of the company shall not become illegal or invalid merely on the ground that it was ultra vires. (2) It shall be the duty of every director and officer to conduct such transaction within the limits of the authority determined in the memorandum of association of the company. (3) Except in the situation mentioned in sub-section (1), any act or transaction done by a director beyond the authority vested in him/her may be ratified by passing a special resolution at the general meeting of the company. (4) Merely because an act is ratified by a special resolution pursuant to sub-section (3), the director, officer or other person of the company shall not be deemed to have been relieved from liability under this Act in respect of the acts performed without exceeding authority. 104. Binding Effect on Company: Amended by the first amendment.(1) Any act done or document signed by an officer or a person authorized to act on behalf of the company shall be valid and binding on the company. (2) If any person in good faith enters into any transaction with the company, such transaction shall be binding on the company, and nothing contained in the memorandum of association, articles of association or any resolution passed by the company, or any agreement between the company and any of its shareholders, shall be deemed to impose any limit or restriction on the authority of the director or authorized person to enter into such transaction. Provided, however, that if any officer, by exercising authority beyond that vested in him/her, does any act or transaction mentioned in sub-section (1) or (2), such officer shall remain personally responsible unless such authority is ratified by the general meeting under this Act, and if the company has suffered any loss or damage from such act or transaction, the company may recover the same from him/her. 105.

Restrictions on Authority of Directors: (1) The board of directors of a public company or a private company that has received a loan from a bank or financial institution shall not, without passing a special resolution at a general meeting of shareholders, do or cause to do any of the following acts: (ka) To sell, donate, gift, lease or otherwise transfer the right to more than seventy percent of the business (undertaking) of one or more businesses operated by it, (kha) To borrow an amount exceeding the total of its paid-up capital and free reserves, except for loan facilities obtained from a bank or financial institution for a period of less than six months in the ordinary course of business, (ga) To give donations, grants or gifts exceeding Amended by the first amendment.one hundred thousand rupees or one percent of the average net profit of the company for the preceding three fiscal years, whichever is lower, in a fiscal year, excluding expenses incurred for grants, donations, gifts, etc., given for the promotion of the company's employees or its business. Provided, however, that: (1) Nothing in clause (ka) shall affect the right or title acquired by a person who, by paying the prevailing market price, purchases any asset or business of a company engaged solely in the business of buying and selling movable and immovable property. (2) The provision of clause (kha) shall not apply when a company engaged in banking or financial transactions or insurance business receives deposits or insurance premiums from the public in the ordinary course of its business. (2) For the purpose of sub-section (1), the general meeting may prescribe appropriate conditions when granting approval. 106. Validity of Acts Done: If it is later discovered that any provision under this Act regarding the appointment of a director has not been complied with, any act done by such director before such discovery shall not be invalidated by that fact. 107. Register of Directors and Company Secretary: (1) Every company shall maintain a separate register of directors and, if there is a company secretary, of him/her. (2) In the register maintained pursuant to sub-section (1), every company shall record the name, surname, address, citizenship, occupation, business, date of appointment as director or secretary, and the date of removal if removed from the post, and if any change occurs in such details, notice thereof shall be sent to the office within fifteen days. Chapter-7 Company's Accounts and Books 108.

Accounts of Company: (1) A company shall keep its accounts properly in the Nepali or English language. (2) The accounts kept pursuant to sub-section (1) shall be based on the double-entry system and shall be kept in accordance with the accounting standards adopted by the authorized body under the prevailing law and other conditions and provisions to be complied with under this Act, so as to clearly reflect the true position of the company's transactions. (3) Except where approved by the office, the accounts of the company shall not be kept at a place other than the registered office of the company. (4) Except for the amount determined by the board of directors, the cash balance held by the company shall be deposited in a bank and transactions shall be conducted only through the bank. (5) Subject to the provisions made in this Chapter, the ultimate responsibility for keeping the books and accounts of the company shall rest with the directors or other officers. (6) If the provisions made in this Act regarding the accounts and annual financial statements of the company are not complied with, the person who was acting in the capacity of director or officer at the time when such accounts, annual financial statements and other reports were made shall be responsible under this Act. 109. Preparation of Annual Financial Statements and Report of Board of Directors: (1) The board of directors of a public company shall, at least thirty days before the annual general meeting each year, and in the case of a private company, within six months of the end of the fiscal year, prepare the following annual financial statements in the prescribed format: (ka) A balance sheet as at the last date of the fiscal year, (kha) A profit and loss account for the fiscal year, (ga) A cash flow statement for the fiscal year. (2) The annual financial statements prepared pursuant to sub-section (1) shall show the true and fair position of the company's business up to the end of the relevant fiscal year and shall also show the profit and loss account and cash flow statement for that fiscal year.

Such financial statements shall be prepared in the format prescribed under the prevailing law.

(3) The annual financial statements under sub-section (1) shall be approved by the board of directors and audited.

(4) In addition to the annual financial statements prepared pursuant to sub-section (1), the board of directors of every public company, or every private company with a paid-up capital of one crore rupees or more or with an annual turnover of ten crore rupees or more, shall also prepare within the same period a separate report of the board of directors stating the following details:

(ka) An overview of the business of the past year,

(kha) Any impact on the company's business from national and international circumstances, if any,

(ga) The board of directors' views on the achievements of the current year up to the date of the report and on matters to be done in the future, (gha) Industrial or business relations of the company,

(nga) Changes in the board of directors and the reasons therefor,

(cha) Key factors affecting the business,

(cha) If any defect is mentioned in the audit report, the board of directors' response thereto,

(ja) The amount recommended for distribution as dividends,

(jha) If shares have been forfeited, the number of shares forfeited, the face value of such shares, the total amount received by the company in respect of such shares before forfeiture, the amount received by the company after selling such shares after forfeiture, and details of refunds made for forfeited shares, if any,

(nya) A review of the progress of the business of the company and its subsidiary during the past fiscal year and the position at the end of that fiscal year,

(ta) Major transactions completed by the company and its subsidiary during the fiscal year, and any significant changes in the company's business during that period,

(tha) Information provided to the company by its substantial shareholders during the past fiscal year,

(da) Details of share ownership taken by directors and officers of the company during the past fiscal year, and if they were involved in the company's share transactions, the information received by the company from them in this regard,

(dha) The substance of information provided regarding the personal interest of any director and his/her close relative in agreements related to the company during the past fiscal year,

(na) If the company has purchased its own shares, the reason for purchasing its own shares, the number and face value of such shares, and the amount paid by the company for purchasing such shares,

(ta) Whether there is an internal control system or not, and if so, detailed details thereof,

(tha) Details of total administrative expenses for the past fiscal year,

(da) The list of members of the audit committee, remuneration, allowances and facilities received by them, details of the work performed by that committee, and any suggestions made by that committee,

(dha) If any amount is owed to the company by a director, managing director, chief executive officer, substantial shareholder of the company or his/her close relative, or a firm, company or corporate body in which he/she is involved,

(na) The amount of remuneration, allowances and facilities paid to directors, managing director, chief executive officer and officers,

(pa) The amount of dividends remaining unclaimed by shareholders,

(pha) Details of purchase or sale of assets pursuant to Section 141,

(ba) Details of transactions between related companies pursuant to Section 175,

(bha) Any other matters required to be disclosed in the report of the board of directors under this Act or prevailing law, (ma) Other necessary matters.

(5) When preparing annual financial statements pursuant to sub-section (1), for the year of incorporation of the company, they shall include the period from the date of incorporation to the end of that fiscal year, and for subsequent years, they shall include the accounts of the previous fiscal year.

(6) The annual financial statements prepared under this section shall be kept open for inspection by any shareholder who wishes to inspect them.

(7) The annual financial statements and the directors' report prepared under this section shall be approved by the board of directors and signed by the chairperson of the board of directors and at least one director.

(8) The company shall keep the accounts and annual financial statements prepared under this Chapter safe for at least five years from the date of the end of the relevant fiscal year.

(9) Officers who prepare false annual financial statements, board of directors' reports, and other details and reports required to be prepared under this Act, and directors who approve them, shall be punished under this Act.

Chapter-8

Audit

110. Company to Appoint Auditor: (1) Every company shall appoint an auditor under this Act to audit its accounts.

(2) If a company has a branch office outside the State of Nepal, the auditor appointed under sub-section (1) may also audit that branch, unless otherwise provided in the prevailing law of the country where such branch office is situated. 111. Appointment of Auditor: (1) The auditor of a company shall be appointed from among auditors licensed to conduct audits under the prevailing law, in the case of a public company, subject to Chapter 18, by the general meeting, and in the case of a private company, as provided in the memorandum, articles of association or unanimous agreement, and if not so provided, by the general meeting, and within fifteen days of such appointment, his/her name shall be sent to the office. Provided, however, that before the first annual general meeting, the board of directors shall appoint the auditor.

(2) The auditor appointed under sub-section (1) shall hold office only until the subsequent annual general meeting.

(3) For the audit of a public company, the same auditor, his/her partner or former partner or employee or former employee shall not be appointed as auditor for more than three consecutive times. Provided, however, that this restriction shall not apply to a partner who separates from the partnership three years prior, or to an employee who has separated from the service of such auditor. 112.

Persons Not Eligible for Appointment as Auditor: (1) The following persons, or a firm or company in which such a person is a partner, shall not be eligible for appointment as auditor, and if already appointed, shall not continue to hold office: (ka) A director, a consultant appointed with regular remuneration or cash facility, a person in the management group of the company, or an employee or worker, or a partner of any of them, or an employee of any such partner, or a close relative of a director or partner among them, or his/her employee, (kha) A debtor who has taken any kind of loan from the company, or a person who has any amount payable to the company remaining unpaid within the due date, or a close relative of such person, (ga) A person who has not served a period of three years after being punished for an offense related to audit, (gha) A person who has been adjudged insolvent, (nga) A substantial shareholder of the company, or a shareholder holding one percent or more of the paid-up capital of the company, or his/her close relative, (cha) A person who has not served a period of five years after being punished for a criminal offense involving corruption, fraud or moral turpitude, (cha) A person under sub-section (3) of Section 111, (ja) In the case of a public company, a person working full-time or part-time in any government or entity wholly or partly owned or controlled by the Government of Nepal, or any other company, or his/her partner, or a person working as an employee of such partner, or a person authorized to sign any document or report prepared on behalf of the company's management, (jha) A company or corporate body with limited liability, (nya) A person who has any interest in a transaction with the company, or his/her close relative, or a director, officer or substantial shareholder of another company that has any interest in a transaction with the company. (2) An auditor shall, before his/her appointment, inform the company in writing that he/she is not disqualified under sub-section (1). (3) If an auditor becomes disqualified from auditing a company before the expiry of his/her term, or if a situation arises where he/she cannot be appointed or continue as auditor of the company, he/she shall immediately stop the audit work to be done or being done and give written notice thereof to the company. (4) An audit conducted by an auditor appointed in contravention of this section shall not be valid.

113. Office May Appoint Auditor: If an auditor cannot be appointed for any reason at the annual general meeting of the company, or if the annual general meeting itself cannot be held, or if the auditor appointed under this Act cannot continue for any reason, Added by the Act to Amend Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2024 (2081).in the case of a private company or a public company not listed on the securities market, the board of directors of such company may, after informing the office, appoint another auditor; and

123. Obligation to Assist the Inspector: (1) If any person gives a false statement, fails to submit the details or documents or any other items required to be submitted pursuant to Section 122, fails to answer questions asked by the inspector, or fails to provide details requested by the inspector for the purpose of inquiry, the inspector may submit a written complaint report to the court on the matter.

(2) Upon receipt of a complaint report pursuant to Sub-section (1), the court shall, after making necessary inquiries in accordance with the prevailing law, and if any person is found guilty, the court may impose a sentence it deems appropriate under Section 162. 124. Obligation to Submit Report: (1) An inspector appointed pursuant to this Chapter shall, after completing the inquiry, submit a report along with his or her opinion to the Office. The Office shall provide a copy of such report to the applicant, if any. If any shareholder applies to obtain a copy of such report, the Office shall provide a copy upon charging the prescribed fee.

(2) If it appears from the report submitted by the inspector pursuant to Sub-section (1) that any director, managing director, manager, employee or any other officer of the company has knowingly caused loss or damage to the company, defrauded or cheated shareholders or creditors, or committed any other illegal act, the Office shall, notwithstanding anything contained in the prevailing law, order the company to file a complaint or case against such persons on behalf of the company.

Provided that this provision shall not be deemed to restrict other remedies available to the company or shareholders under the prevailing law.

(3) If it appears that leaving the management of the company's affairs in the charge of the director, managing director, manager, employee or any other officer who is subject to action under Sub-section (2) may cause further loss or damage to the company, the Office may suspend such director, managing director, manager, employee or officer and give necessary directions to the company to conduct its business through other

means.

(4) Notwithstanding anything contained in the prevailing law on evidence, any matter mentioned in the report submitted by the inspector pursuant to Sub-section (1) and the facts expressed therein shall be admissible as evidence. 125. Expenses of Investigation: (1) The expenses incurred by the Office in causing an investigation pursuant to this Chapter shall be borne by the concerned company. Provided that if any director, managing director, manager or officer of the company is found to have acted with mala fide intent, deceit, fraud or cheating during the investigation, such director, managing director, manager or officer shall pay the investigation expenses within seven days of the completion of the investigation.

(2) If the concerned director, managing director, manager, employee or person fails to pay the investigation expenses as per the proviso to Sub-section (1), it shall be recovered as a government overdue amount.

(3) An inspector appointed pursuant to this Chapter may submit recommendations in his or her report regarding the payment of expenses. Chapter 10
Voluntary Winding-up of Company

126.

Winding-up (Liquidation) of Solvent Company: (1) Except in the case of being insolvent pursuant to the prevailing law on insolvency, the shareholders of a company may pass a special resolution at a general meeting or, subject to the provisions written in the memorandum, articles or unanimous agreement, wind up (liquidate) the company. (2) A company may be wound up under this Act if the following conditions exist: (a) The company is fully capable of paying its debts or other liabilities, (b) No proceeding on a petition for insolvency review of the company is pending under the prevailing law on insolvency, or the company is not in any way subject to insolvency proceedings under the prevailing law on insolvency, (c) The directors have made a written declaration that the company is capable of fully paying its debts and other liabilities after due inquiry, and that the debts and liabilities payable by such company can be settled or fully resolved through any other process within one year from the date of passing the resolution to wind up such company, (d) The written declaration made by the director pursuant to clause (c) has been submitted to the general meeting called to discuss the matter of winding up such company, or such declaration is made at the time of the discussion on that matter in the general meeting. (3) A copy of the special resolution passed regarding the winding up of the company pursuant to this Section and the written declaration of the directors shall be submitted to the Office within seven days from the date of passing such resolution. 127. Appointment of Liquidator and Auditor: (1) When passing a resolution to wind up a company pursuant to Section 126, a liquidator shall be appointed to complete the winding-up related work and the remuneration to be received by such liquidator shall be fixed. (2) When appointing a liquidator pursuant to Sub-section (1), a professional licensed under the prevailing law on insolvency shall be appointed. (3) The company shall give notice of such appointment to the Office within seven days from the date of appointment of the liquidator pursuant to Sub-section (2). (4) Upon the appointment of a liquidator pursuant to Sub-section (2), the directors and officers of the company shall be relieved of their positions, and the liquidator shall exercise all powers used by the directors and officers of the company relating to the operation and management of the company. (5) After the liquidator begins operating and managing the company pursuant to Sub-section (4), the services of employees of such company shall automatically terminate.

Provided that the liquidator may retain or appoint necessary employees for his or her assistance and support.

(6) The liquidator appointed pursuant to this Section shall complete the work of winding up the company

within the time period fixed at the time of appointment. Provided that if the winding-up work cannot be completed within the stipulated time period for any reason, a reasonable extension of time may be granted by following the procedure followed for the appointment.

(7) When appointing a liquidator pursuant to Sub-section (1), an auditor shall also be appointed subject to the provisions made in this Act. Added by the First Amendment.(8) If a liquidator appointed under this Act acts contrary to the code of conduct for insolvency practitioners, the interests of the company, or other prevailing laws, he or she shall be removed through the same procedure by which the liquidator was appointed. Provided that:
(1) If the code of conduct for insolvency practitioners is violated, approval must be obtained from the body that enforces such code.
(2) Before removing him or her in such manner, he or she shall be given an opportunity to present his or her defense. Added by the First Amendment.(9) If a liquidator appointed under this Act ceases to hold that position for any reason, another liquidator shall be appointed through the same procedure by which the liquidator was appointed. Added by the First Amendment.(10) No person may be a liquidator of more than one company at the same time. 128. To be According to Prevailing Law on Insolvency: When winding up a company pursuant to this Chapter, the determination of whether a person is a creditor of the company being wound up shall be according to the prevailing law on insolvency. 129. Application to be Made if Company Unable to Pay Liabilities: If, after the liquidator initiates the process of winding up the company pursuant to this Chapter, he or she is satisfied that the company is insolvent and unable to pay the debts or fulfill the liabilities it is required to pay, the liquidator shall file a petition for insolvency review of the company according to the prevailing law on insolvency. 130. Liquidator May Take Custody of Company Property: After commencing his or her work pursuant to this Chapter, the liquidator shall take into his or her custody and control the property, accounts, and all records and documents of the company. 131.

Rights and Duties of Liquidator: (1) The liquidator appointed under this Act may exercise and perform all powers and duties which a liquidator can exercise and perform under the prevailing law on insolvency, mutatis mutandis (with necessary modifications). (2) Without prejudice to the generality of Sub-section (1), it shall be the duty of the liquidator to do the following acts: (a) Prepare and submit to the Office a statement of income and expenditure and accounts relating to the winding up of the company for every six months after the appointment of the liquidator, (b) Inform the shareholders of the company of the progress report of the winding-up related activities for every six months after the appointment of the liquidator, (c) Recover property or all amounts receivable on behalf of the company and settle the debts and other liabilities of all creditors of the company, (d) After completing the work pursuant to clause (c), convene a general meeting and submit to the shareholders the proposed report and details regarding the distribution of the remaining property of the company, (e) If consent of shareholders holding at least seventy-five percent of the paid-up share capital is obtained for the details pursuant to clause (d), make payment to the shareholders accordingly, (f) After completing the winding-up related work, prepare a report regarding the property recovered on behalf of the company, payments made to creditors, and distributions made to shareholders, certify the fact of the company's winding up along with the auditor's report, and submit such report to the Office. 132. Cancellation of Registration of Company: (1) After the Office receives a report regarding the winding up of the company pursuant to clause (f) of Sub-section (2) of Section 131, the Office shall issue an order canceling the registration of the company by removing the name of such company from the Company Register Book under this Act. (2) After issuing the order canceling the registration of the company pursuant to Sub-section (1), the Office shall remove the name of such company from the Company Register Book and publish a notice of the dissolution of such company in a national daily newspaper. Added by the Act to Amend Some Nepal Acts, 2008.(3) Notwithstanding anything written elsewhere in this Section, the liquidator appointed under the Insolvency Act, 2006 shall send to the Office a statement that the winding-up work of such company has been completed for the purpose of winding up any company.

Added by the Act to Amend Some Nepal Acts, 2008.(4) Upon receipt of the statement pursuant to Sub-section (3), the Office shall record such company as dissolved, and after such recording, such company shall be deemed to be dissolved. 133. Creditors and Shareholders May Lodge Complaint: If any creditor or shareholder of the company believes that there has been any irregularity regarding the work of the liquidator while winding up the company pursuant to this Chapter, such creditor or shareholder may lodge a complaint against such work before the court within fifteen days of obtaining information thereof. 134. Action to be Taken in Case of Fraud or Cheating: If the liquidator believes that any director, employee, or shareholder of the company has committed an act of fraud or cheating against the company, the liquidator may initiate necessary legal action against such person according to the prevailing law. 135. No Effect on Rights of Secured Creditors: Where proceedings for winding up have been initiated pursuant to this Chapter, it shall not be deemed to have affected in any way the right of secured creditors who have lent money against the security of the company's property to deal with or otherwise manage the secured property under the prevailing law. Chapter 11 Striking Off of Company Registration 136.

Office May Strike Off Registration: (1) The Office may strike off the registration of a company in the following circumstances: (a) If the founders of the company submit an application with the prescribed fee stating the reason for being unable to commence business operations, (b) If the company fails to submit statements pursuant to Section 80 for three consecutive fiscal years, or fails to pay a fine under Section 81, or (c) If there are reasonable grounds for the Office to believe, based on evidence obtained in the course of company administration, that the company has not been carrying on its business or is not in operation. (2) If the registration of a company is to be struck off pursuant to Sub-section (1), the Office shall, before striking off the registration, give notice to the concerned company specifying the reason therefor. (3) When sending notice to the company pursuant to Sub-section (2), if the registered office of the company, if its address is not registered with the Office, or if the company office is not located at the registered address, the notice shall be sent to the officer of such company, and if the address of such officer is also not obtained or found by the Office, the notice shall be sent to the address of each founder mentioned in the memorandum of the company. (4) The notice given pursuant to Sub-section (2) shall also be published in a national daily newspaper as required. (5) If the company fails to submit an application stating the reasons why its registration should not be struck off within two months from the date of receipt of notice pursuant to Sub-section (2), or if such reasons are submitted but are not found to be reasonable, the registration of such company may be struck off. (6) If the registration of a company is struck off pursuant to Sub-section (5), information thereof shall be given to the concerned directors and shall also be published in a national daily newspaper. (7) If the registration of a company is struck off pursuant to Sub-section (5), and if there is any kind of liability of such company, the liability of the officers or shareholders of such company shall remain in force, and nothing in this Section shall be deemed to prevent necessary legal action against them to fulfill or cause to fulfill such liability. (8) At the time of striking off registration pursuant to Sub-section (5), the property, rights, facilities or liabilities in the name of the company shall be transferred to the names of its shareholders in proportion to the shares held by them.

Amended by the Act to Amend Some Nepal Acts Relating to Economic and Business Environment Improvement and Investment Enhancement, 2024.136A. Special Provision Relating to Striking Off Registration of Company: (1) Notwithstanding anything written elsewhere in this Act, if a company which, at the time of commencement of this Section, has not operated its business, is not in operation, has not submitted statements pursuant to Section 80, or has not paid fines imposed under Section 81, wants to get its registration struck off, such company may make a decision through its general meeting and submit an application to the Office.

(2) For the purpose of Sub-section (1), if a general meeting of the company cannot be convened or the general meeting cannot be held due to lack of quorum as per Section 73, the directors or shareholders present may make a decision for the winding up of such company and submit an application to the Office.

(3) The application under Sub-section (1) or (2) shall be accompanied by the statements pursuant to Section 80, along with an amount that is the lower of the penalty amount leviable under Section 81 or 0.5 percent of the paid-up capital of the company.

(4) Upon receipt of an application under Sub-section (1) or (2), the Office shall publish a notice in a national daily newspaper allowing a period of thirty days to submit any reason why the registration should not be struck off.

(5) If no one submits any reason why the registration should not be struck off within the period under Sub-section (4), or if the reason submitted is not satisfactory, the Office may strike off the registration of such company.

(6) If the registration of a company is struck off pursuant to Sub-section (5), information thereof shall be given to the concerned directors and made public through the website of the Office.

(7) If a company is dissolved pursuant to this Section, the settlement of the liability of such company shall be as per Section 136. 137.

Restoration of Registration of Struck Off Company: (1) Amended by the Act to Amend Some Nepal Acts Relating to Economic and Business Environment Improvement and Investment Enhancement, 2024.If the registration of a company has been struck off pursuant to Sub-section (5) of Section 136 or Sub-section (5) of Section 136A, and such company, its shareholders, or creditors file a petition before the court within five years from the date of publication of the notice of the company being struck off, stating reasons for restoring such company, the court may, in the following circumstances, order the restoration of such company and the reinstatement of its name in the Company Register Book: (a) If it appears that the registration of such company was struck off while it was still carrying on its business, (b) If the court deems it just to reinstate the name of such company for the proper settlement of the company's assets and liabilities. (2) If the company is restored by the order of the court pursuant to Sub-section (1), such company shall be deemed to have been in existence from the date of its incorporation. (3) When issuing an order pursuant to Sub-section (1), the court may issue such order as it deems appropriate and give directions to make necessary arrangements to restore the company and all other persons to a position similar to that before the registration was struck off. (4) If a company is restored pursuant to Sub-section (1), and if a fine under Section 81 is payable, the company's restoration and re-registration of its name in the Company Register Book shall occur only after such fine is paid to the Office. (5) If a company whose registration was struck off under Section 136 is restored pursuant to this Section, such company shall receive the following property: (a) Property received by the shareholders in their capacity as per Sub-section (8) of Section 136 due to the striking off of the registration, (b) If the property under clause (a) has already been sold, the amount received from such sale. Provided that property or amounts already expended to pay off creditors' debts or liabilities shall not be refundable. Chapter 12 Protection of Shareholders 138. Directors and Officers May Be Restrained from

Acting Ultra Vires: (1) If any director or officer acts on behalf of the company by exceeding their authority, a shareholder of such company may file a petition in the court to restrain such action.

Provided that no petition may be filed under this Section with respect to any act done or being done regarding the performance of an obligation arising from an act already performed by the company. (2) In respect of any company, if it appears to the Office from a report received pursuant to Section 124 that the business of such company is being or has been conducted in a manner prejudicial to the rights and interests of any or all or a specific class or group of shareholders of such company, or that the interests of such shareholders are or will be adversely affected by any act done or proposed to be done by the company or by the failure of the company to do any act it should do, the Office may file a complaint petition in the court against such company or its directors or officers. (3) Upon receipt of a petition under Sub-section (1) or (2), the court may, after hearing the concerned company or its directors or officers, issue an appropriate order. 139.

Remedy for Acts Done Against the Interests of Shareholders: (1) A shareholder may file a complaint petition in the court for an appropriate order on the basis that the business of the company is being or is likely to be conducted in a manner prejudicial to the interests of any shareholder, or that any act done or proposed to be done on behalf of the company, or the failure of the company to do any act it should do, is or is likely to be prejudicial to the interests of any shareholder. (2) When filing a petition under Sub-section (1), the petitioning shareholder shall prove that the director, managing director, manager or any officer controlling and managing the company has acted or is about to act in violation of the memorandum, articles or unanimous agreement with mala fide intent or by making unfair discrimination. (3) Upon receipt of a petition under Sub-section (1), the court shall hear the concerned company, director or officer, and if the claims and allegations mentioned in the petition appear to be well-founded, the court may issue such order as it deems appropriate in the name of the company to provide remedy therefor. (4) When issuing an order under Sub-section (3), and without prejudice to the generality of that Sub-section, the court may, notwithstanding anything written in the memorandum, articles or unanimous agreement, issue the following orders: (a) To stop acts done against the interests of any or all shareholders and to conduct the company's business properly in the future, (b) To stop any act being or about to be done by the company, or to require the company to do any act it has not done or is not going to do, (c) To direct the filing of a civil suit against any person as directed by the court on behalf of the company, (d) To complete the procedure of this Act, reduce the company's capital, purchase the shares of any shareholder, and cause the refund of the amount, (e) To have the loss or damage caused to any shareholder due to discrimination compensated by the company or by the person making such discrimination, (f) To wind up the company, (g) To have the shares held in the name of any shareholder of the company purchased by another shareholder of the company or by the company itself, (j) To recover the loss or damage from the director or officer who caused the loss or damage to the company or its shareholders, (jh) If the company itself is to purchase shares, to order the company to pass a special resolution regarding share capital reduction and treat it as if the share capital has been reduced, and to issue an order reducing the share capital of such company and make other appropriate orders, including making necessary amendments to the memorandum or articles of the company if required, (5) Notwithstanding anything written in Sub-section (1) or (2), the remedy available to a person who has suffered loss or damage due to the failure of the company or its directors or persons managing or controlling the company or its employees to do any act they should do, or for doing an act they should not do, or for any other kind of discriminatory behavior, shall not be deemed to be limited only to this Section, and such person may initiate action individually or collectively on behalf of themselves or other shareholders to obtain remedies available under other prevailing laws. (6) If collective remedy is sought under Sub-section (5), the court may, after hearing or without hearing any or all shareholders of that class, issue an appropriate order. (7) Notwithstanding anything written elsewhere in this Act, if the court has ordered that the company cannot amend its memorandum or articles to protect the interests of any or all shareholders, or must amend a specific matter, then, in such a case, no amendment can be made to the memorandum or articles without the prior permission of the court. (8) If the company has made any amendment to its memorandum or articles by order of the court under Sub-section (7) or in accordance with such order, such amendment shall be deemed to be an amendment passed by a special resolution of the general meeting of the company. (9) The Office shall register the following orders given by the court under this Section in the Company Register Book: (a) An order given to reduce the share capital of the company, (b) An order given resulting in an amendment to the memorandum or articles of the company. (10) The provisions of this Section shall apply equally to a person who has not been registered as a shareholder of the company but whose name shares have been transferred through a legal process.

140. Shareholder May Sue on Behalf of the Company: (1) A company may file a suit in court against any of its directors, officers, or shareholders controlling the company under a unanimous agreement, or against any person to enforce any right or interest of the company.

(2) If the concerned company does not file a suit under Sub-section (1), any shareholder holding two and a half percent or more of the paid-up capital of the company, or more than one shareholder together holding five percent shares, may file a suit in court on behalf of the company against such director or officer or person controlling the company or any other person.

(3) When a shareholder files a suit under Sub-section (2), he or she shall mention what efforts he or she had made to have the company itself file the suit.

(4) If a suit is filed under Sub-section (2), the court may determine whether it is appropriate for the shareholder to continue prosecuting the suit or to have the company join the suit, and if it deems appropriate to have the company join, the court may order the company to join.

(5) Once a suit filed under Sub-section (1) or (2) is filed, it shall not be dismissed or settled by compromise except upon the inclusion of conditions specified by the court.

(6) When a suit filed under Sub-section (2) is decided, if the claim of the complaining shareholder is upheld, the company shall reimburse the expenses incurred by such shareholder in prosecuting such suit and reasonable expenses for the services of legal practitioners. If the claim is not upheld, an amount deemed appropriate by the court out of the expenses incurred by the defendant in defending the suit shall be reimbursed by the complaining shareholder. 141.

Acquisition or Sale of Property: (1) If a public company or its subsidiary company purchases or sells any property, it shall inform the Office in the following cases: (a) If, as a result of purchasing any property, the value of its assets or consolidated assets mentioned in the latest audited annual financial statement increases by more than fifteen percent, (b) If the income from the property being sold or already sold amounts to more than fifteen percent of the consolidated income before tax of the company as mentioned in the latest audited accounts of the company. (2) When informing the Office under Sub-section (1), the following details shall be disclosed, and if such details also apply to the company's business, they shall also be shown in the report of the board of directors: (a) The date of the transaction and the parties involved in the transaction, (b) A description of the nature of the property, and if such property includes wholly or partly shares issued by any other company, the name of the company issuing such shares and the nature of the business carried on by such company, (c) The amount of the transaction and other terms of the transaction, (d) The bases adopted for valuation of the property when purchasing or selling the property, (e) If any property has been sold, whether the amount received from the sale of the property is more or less than the value shown in the register of such property. Chapter 13 Holding and Subsidiary Companies 142. Control Over Subsidiary Company: (1) A holding company may control its subsidiary company in the following ways: (a) By exercising direct or indirect control over the composition of the board of directors, (b) By holding the majority of the shares of the company. (2) If one company is a subsidiary of another subsidiary company, the first company shall also be a subsidiary of the holding company controlling the latter company. (3) Even if a representative on behalf of the holding company or its subsidiary company holds the shares of the company, or a person nominated on behalf of the holding company or its subsidiary company has the power to appoint directors of such company, the conditions written in Sub-section (1) shall be deemed to be fulfilled.

Provided that while determining a holding company and a subsidiary company, shares held in the following circumstances shall not be recognized for this purpose:

(1) If a company has taken debentures or has the right to exercise any power or has held shares based on a trust deed for issuing debentures,

(2) If the lending company has held shares as security. 143. Documents to be Included: (1) The holding company shall include in its balance sheet the following documents of the subsidiary company:

(a) A copy of the annual accounts of the subsidiary company for the immediately concluded fiscal year and the report of the board of directors of such company for that period,

(b) The auditor's report,

(c) Details of the holding company's investment in the subsidiary company at the end of the fiscal year,

(d) If the fiscal years of the holding company and the subsidiary company are different, any change in the holding company's rights over the subsidiary company within such different period.

(2) In the report pursuant to clause (b) of Sub-section (1), the net profit remaining after deducting the losses of the subsidiary company in the relevant fiscal year, and the profits and losses not recorded in the company's accounts since the company became a subsidiary but relevant to the shareholders of the holding company, shall also be mentioned.

(3) If the board of directors of the holding company is unable to obtain the information mentioned in clause (b) of Sub-section (1) and Sub-section (2) for any reason, the balance sheet of the holding company shall include a written report on the matter.

(4) The details pursuant to clause (c) of Sub-section (1) shall also show loans taken for any purpose other than fulfilling debts or liabilities currently outstanding or loans taken by keeping the immovable property of the subsidiary company as collateral. 144. Not to Invest in Holding Company: A subsidiary company shall not purchase or otherwise invest in shares or debentures of the holding company. Chapter 14

Special Provisions Relating to Private Company

145.

Unanimous Agreement: (1) Except where otherwise provided in this Act, a unanimous agreement of a private company may provide for the following matters: (a) The management, business and affairs of the company, (b) Any restriction on the transfer of shares, (c) The right of one or more shareholders to dissolve the company upon a specified or contingent event or at will, (d) The division or exercise of voting rights, (e) The terms of appointment of officers, employees, workers of the company, (f) Matters concerning who shall be the director, officer, person bearing ultimate responsibility or chief executive of the company, (g) The method of payment or distribution of dividends, (j) The absence of a board of directors, (jh) If there is to be no board of directors, who is to do the work that the board of directors is required to do under this Act, (n) Provisions regarding not holding an annual general meeting, if applicable, (t) The types of shares and provisions for shares with differential rights. Added by the First Amendment.(th) Matters relating to the operation, management, voting rights available to shareholders, or any other special privileges, rights, or mutual relations among shareholders. (2) The unanimous agreement may be amended by the written consent of all parties to the agreement. (3) After a unanimous agreement is concluded, a shareholder acquiring shares in the following manner shall be deemed to have consented to and become a party to such agreement: (a) If shares have been received by gift, (b) If shares have been obtained in any other manner, and at the time of obtaining such shares, the person had knowledge of the existence of such agreement. 146. Right of Shareholder to Inspect Accounts: (1) A shareholder of a private company or his or her representative may, during office hours, inspect the following documents or records related to the company's business: (a) Minutes book of the general meeting and board of directors, (b) Annual financial statements, (c) Share register book, and (d) Accounts of the company. (2) Directors or officers of a private company shall make adequate arrangements so that the documents and records under Sub-section (1) can be inspected by the shareholders. 147.

Details of Business: (1) A shareholder of a private company may request details of the company's business for any fiscal year from the company. (2) Within fifteen days of a request for details under Sub-section (1), the director, managing director or officer conducting the business of the company shall provide a statement including the certified annual financial statement. 148. Annual General Meeting Not Required: (1) Notwithstanding anything written elsewhere in this Act, if the unanimous agreement among the shareholders of a private company mentions that the company shall not hold an annual general meeting, such private company shall not be required to hold an annual general meeting during the term of such agreement. (2) If a unanimous agreement has been made not to hold an annual general meeting pursuant to Sub-section (1), the company shall also make provisions regarding the procedure and authority for making decisions on matters that are required to be decided by a general meeting under this Act. 149. Private Company to Pass Written Resolution: (1) Notwithstanding anything written elsewhere in this Act, but except where otherwise provided in the articles, any act which may be done by passing any resolution, including a special resolution, by a general meeting or by a meeting of a specific class of shareholders of a private company, may be done by a written resolution signed by all shareholders representing at least seventy-five percent of the shares entitled to vote on such resolution, effective from the date such resolution is deemed to be passed. (2) For the purpose of Sub-section (1), if separate written resolutions are recorded for any reason, it shall not be necessary for all shareholders to sign the same document if the content of all such documents is identical, and even if each shareholder has signed a separate document, such document shall be valid, deeming it as signed on the same written resolution. (3) Every shareholder signing a written resolution pursuant to this Section shall indicate the date on which he or she signed the resolution, and the date on which the last shareholder signs shall be deemed to be the date on which the resolution was passed. (4) A document attached to a written resolution shall be deemed to have been presented to the meeting of shareholders signing such resolution. (5) A resolution approved under this Section shall be recognized for any purpose as if it were a decision passed by the general meeting or a meeting of a specific group of shareholders of the company. 150.

Deemed Participation in General Meeting: (1) Notwithstanding anything written elsewhere in this Act, but except where otherwise provided in the articles of the company, if any shareholder of a private company communicates with all shareholders through any communication medium and participates in communication with another shareholder in such a way that the words spoken or read by each shareholder can be heard or read by the other shareholders, each shareholder so participating in communication shall be deemed to have participated in a general meeting with other shareholders. (2) Notwithstanding anything written elsewhere in this Section, if any shareholder files a complaint petition with the prescribed fee at the Office within three months of the general meeting stating that he or she did not participate in the general meeting, the Office shall inquire into the concerned company. If, upon such inquiry, the company fails to prove that the complaining shareholder participated in such meeting, the decision made by such meeting shall not be valid. (3) A meeting of shareholders conducted pursuant to Sub-section (1) shall be deemed to have been conducted at the place where the chairperson of such meeting is present. (4) The provisions of Sub-section (1), (2) or (3) applicable to a general meeting of the company shall apply mutatis mutandis to meetings of the board of directors or a sub-committee of directors of such company. (5) After the conclusion of a general meeting pursuant to Sub-section (1), a record of the proceedings and decisions made at such meeting shall be prepared annually, certified by the chairperson of the meeting, and retained. 151. Special Exemption for Companies Conducting Prescribed Business: The Government of Nepal may, by publishing a notice in the Nepal Gazette, exempt private companies conducting business up to a prescribed amount from complying with the provisions of Chapter 8. Chapter 15 Provisions Relating to Single Shareholder Company 152.

156. Accounts, audit and annual report of a foreign company: (1) Every foreign company registered pursuant to Section 154 shall prepare an annual financial statement, including a balance sheet and a profit and loss account, showing the true state of its business within the State of Nepal, similar to a company established under this Act, and shall have it audited and submitted to the Office within six months from the date of the end of the fiscal year.

(2) A foreign company shall submit to the Office a copy of the annual financial statement, the audit report, and the report of the board of directors prepared for each fiscal year in accordance with the law of the country where its registered office is located, within three months from the date of their final preparation.

(3) While preparing the annual financial statement pursuant to sub-section (1), the foreign company shall include the following details:-
(a) A statement prepared by classifying, separately showing, the fixed, current, and other assets located within the State of Nepal in the name of the foreign company,
(b) A clear statement of the cash amount held in banks and financial institutions in Nepal in the name of the foreign company,
(c) Details, if any, of loans and overdraft amounts taken by the foreign company from banks and financial institutions located in Nepal,
(d) The total amount of loans and liabilities, if any, payable by the foreign company to any resident person of Nepal or to a Nepalese company registered under this Act.

(4) If the reports and statements required to be submitted to the Office pursuant to sub-section (2) and the documents to be attached are in a language other than Nepali or English, a copy of their official translation into Nepali or English shall also be attached.

(5) A foreign company that has registered a liaison office in Nepal pursuant to Section 154 shall submit the following to the Office within three months of the end of the fiscal year, certified by an auditor: details of employees, advisors, or contact persons working in such office, and the salaries, allowances, and amounts paid to them; details of tax deducted at source on such payments in accordance with prevailing law; and details of payments for rent and expenses incurred for the operation of such office, and details of tax deducted at source on such payments in accordance with prevailing law. 157.

Power of attorney: (1) A foreign company registering pursuant to Section 154 shall appoint a person residing in Nepal as its authorized representative, granting authority to receive summons or notices in respect of cases, matters, or legal proceedings instituted by or against the company, or any other legal notices, and shall submit a copy of the power of attorney, executed in the prescribed format and fulfilling the legal formalities of the country of incorporation or the principal office of the company, to the Office. (2) The power of attorney given pursuant to sub-section (1) shall, in addition to other matters, state that service of summons or notices relating to cases instituted by or against the company, or other legal notices, upon the authorized representative shall be binding on the company for any purpose whatsoever. 158. Cancellation of registration and liquidation of a foreign company: (1) If a foreign company registered pursuant to Section 154 wishes to cease its operations within the State of Nepal and have its registration cancelled, or if a competent authority under prevailing law prohibits such company from carrying on any business or operations within the State of Nepal, such company shall submit an application to the Office for cancellation of registration, along with the prescribed fee. (2) A foreign company submitting an application pursuant to sub-section (1) shall also submit with the application evidence confirming that it has no outstanding liability payable to any person, institution, or government or non-government body within the State of Nepal. (3) To ascertain whether the evidence submitted pursuant to sub-section (2) is true or not, the Office shall publish a notice in a national daily newspaper at least twice, giving a period of twenty-one days for any person to submit a claim with evidence regarding whether the company has any liability to pay or settle. (4) If any claim is lodged pursuant to the notice published under sub-section (3), the concerned company shall submit evidence to the Office that such claim has been settled.

If the claim lodged against such company under sub-section (3) cannot be settled from the property of such company located in the State of Nepal, it shall be settled from the property of such company located outside the State of Nepal.

(5) If no claim is lodged within the period specified under sub-section (3), or if evidence of settlement of any lodged claim under sub-section (4) is submitted, the Office shall remove the name of such company from the Register of Companies and inform the concerned company accordingly.

(6) If the winding-up process is initiated under the law of any country where a foreign company registered in Nepal under this Chapter is carrying on business, the representative authorized pursuant to Section 157 of such foreign company shall immediately give written notice to the Office, and such person shall also publish such notice in a national daily newspaper published from the State of Nepal for the information of the public. Provided that, if an order for the cancellation of registration of such company has already been issued, such foreign company shall cease its business or operations within the State of Nepal.

(7) If a foreign company ceases its business or operations pursuant to the proviso to sub-section (6), the business or operations carried on by such company within the State of Nepal shall be governed by the prevailing law relating to winding-up. Chapter-17
Proceedings in Cases and Penalties

159.

Complaints and proceedings relating to cases under this Act: (1) A case may be instituted and proceedings may be conducted under this Act in relation to any matter only upon a complaint made by the Office, a director, officer, shareholder or member of a company, or any creditor or other concerned person. (2) Except in matters where the Office itself is expressly specified to conduct proceedings under this Act, the court shall have the authority to conduct proceedings and adjudicate matters relating to offenses punishable under this

Act, matters for which various sections of this Act provide for filing complaints or petitions in court, and matters including recovery of damages and compensation. (3) The court shall adopt the procedure prescribed under the Summary Procedure Act, 2028 (1972) when conducting and adjudicating cases under this Act. (4) An appeal against a decision or order made by the Office or the court under sub-section (2) shall lie to the court specified by the Government of Nepal, with the concurrence of the Supreme Court, within thirty-five days. (5) Notwithstanding anything contained in sub-section (2), until the Government of Nepal specifies a court by publishing a notice in the Nepal Gazette for conducting cases, matters, and other proceedings under this Act, the Company Board constituted pursuant to Section 169 shall exercise the jurisdiction of the concerned court under this Act. Added by the first amendment.(6) Except where a limitation period is prescribed for filing a complaint on any matter under other provisions of this Act, a complaint shall not be maintainable for other matters under this Act if not filed within two years from the date of knowledge of the cause of action. 160.

Punishable with a fine of up to fifty thousand rupees or imprisonment for up to two years or both: The following persons committing the following acts shall be liable to a fine of twenty thousand to fifty thousand rupees or imprisonment for up to two years or both:- (a) Any director or officer of a company, who, by willfully or maliciously and negligently including any false statement in any document of the company, causes loss or damage to the company or any person, (b) Any director or officer of a company, who fails to keep accounts or records required to be kept under this Act, or Added by the first amendment.fails to keep proper accounts or records, or fails to cause them to be kept, or suppresses, conceals, or destroys them, (c) An auditor of a company, who, in the course of performing his/her duties, with malicious negligence or willfulness, writes false statements in his/her report, or omits to make necessary observations during the audit, (d) A liquidator, who, with malice, negligence, or willfulness, fails to call a meeting of creditors, or pays debts or liabilities contrary to the order of priority, or fails to keep accounts or records required under this Act, or fails to submit accounts or documents required to be submitted, or keeps false accounts, or fails to submit required reports, or fails to surrender cash, goods, or records after the termination of his/her office, (e) A director, officer, or employee who fails to hand over documents, accounts, cash, or goods under their charge to the incoming person after the termination of their office or after receiving an order to wind up the company as per this Act, or the incoming person fails to take over the same, (f) A director or officer who issues a prospectus before registration with the Office or provides false information in the prospectus, (g) A director or officer who acts beyond the authority of the board of directors or outside the scope of the company's business, or orders to do so, (h) A shareholder who fails to provide details required under this Act or provides false details, (i) A director, officer, or employee who misappropriates or embezzles company cash or goods, or uses company cash or goods for personal work without the approval of the board of directors or general meeting, or fails to settle advances as per company rules, or fails to comply with orders given by the Office, or fails to submit company documents, (j) A director or officer who has a duty to provide details or information to the company, Office, court, or other body under this Act, but fails to provide such details or information, (k) An auditor who audits a company knowing that he/she is disqualified to audit such company, (l) A director or officer who exercises powers not vested in him/her or acts outside the scope of his/her authority, (m) A director or officer who maintains accounts contrary to this Act, (n) A director or officer who fails to provide condensed financial statements, annual financial statements, or reports required to be made available to shareholders under this Act, (o) A director, principal shareholder, or the company that takes or gives any loan facility or remuneration from the company in contravention of the provisions of this Act, (p) A company, director, officer, employee, or any other person who, when seeking court approval to reduce share capital, falsifies or conceals the name of a creditor or provides false information about the company's loans, (q) A private company, its directors and shareholders who sell shares or debentures contrary to this Act, (r) A foreign company, its directors, employees, or representatives who carry on business or operations within the State of Nepal contrary to this Act, (s) A debenture trustee, or a director or officer of such trustee, who acts against the interests of debenture holders, (t) A person who acts contrary to sub-section (7) of section 46, (u) A director or officer who fails to perform an act required under Section 60, (v) A person who uses the word "Company" and carries on business without registering the company under this Act, (w) A company, director, or officer who fails to provide information or notice as required under Section 141 or Section 175, (x) A shareholder of a company who fails to provide information requested under Section 47, or a company, director, or officer who fails to submit information received from a shareholder under that section to the Office, (y) A director or officer who acts contrary to Section 105, (z) A managing director, director, or officer of a company who, despite repeated written orders from the Office or, if not possible, notice through communication media, fails to provide the address of its registered office to the Office, (aa) A company, director, principal shareholder, or officer who acts contrary to Section 50, Added by the first amendment.(ab) A company or officer who knowingly acts contrary to the approved objects of the company, Added by the first amendment.(ac) An inspector deployed pursuant to Section 121, who submits a false report.

161. Punishable with a fine of up to fifty thousand rupees: The following persons committing the following offenses shall be liable to a fine of ten thousand to fifty thousand rupees:-
(a) An officer or person who allocates shares in violation of the provisions of this Act,
(b) Every director of a company that purchases its own shares or shares of its holding company out of its working capital, or makes investments contrary to this Act,
(c) An officer or person responsible for showing or providing accounts to an auditor upon request, who fails to show or provide the same,
(d) An auditor who fails to submit a report as required by this Act,
(e) A director, manager, or officer of a company who fails to make arrangements as per sub-section (3) of Section 172,
(f) A director or officer who violates the provisions of Section 146 or 147, or fails to keep records, books, or documents required to be kept under this Act,
(g) A company, director, auditor, officer, or employee who acts contrary to the provisions of Chapter-18 or fails to fulfill the duties and obligations specified in that Chapter,
(h) A director, officer, or person responsible to call a general meeting or board meeting as required under this Act, or to send notice of such meeting, or to keep ready documents required to be made available to shareholders before the general meeting, or to present documents required to be presented at the meeting, who fails to do so,
(i) An officer who, in the record of decisions required under sub-section (1) of Section 75 and sub-section (7) of Section 97, or in other details or reports required to be prepared under this Act and submitted to the company or the Office, or in notices or information required to be provided, states false matters as true or true matters as false,
(j) A director who makes a declaration under sub-section (2) of Section 126 that is found to be false,
(k) A person who makes or certifies a false or incorrect translation of a document required to be submitted to the Office by a foreign company under this Act. 162.

Punishable with a fine of up to twenty thousand rupees: A company or its concerned Amended by the first amendment.officer or employee who fails to do any act required to be done under this Act, or does any act that ought not to be done, or fails to perform duties, or does any required act without completing the period or complying with the formalities, or fails to give information to the Office that is required to be given, or fails to submit details required to be submitted to the Office, other than those mentioned in Sections 160 and 161, shall be liable to a fine of five thousand to twenty thousand rupees by the court. 163. Recovery of damages: If a director, officer, or any person of a company causes any loss or damage to the company, a shareholder, a creditor, or any other person by committing an offense punishable under this Act or by violating any provision of this Act, the memorandum, the articles, or the unanimous agreement, the affected company, shareholder, creditor, or person shall be entitled to recover the amount of such loss or damage. Such loss or damage shall be borne from his/her personal estate. Chapter-18 Audit Committee 164.

Audit committee: (1) A listed company with a paid-up capital of three crore rupees or more, or a company wholly or partly owned by the Government of Nepal, shall form an audit committee consisting of at least three members, chaired by a director not involved in the daily operations or management of the company. (2) No person who is a close relative of the chief executive officer of the company shall be a member of the audit committee constituted under sub-section (1). (3) At least one member of the audit committee shall be an experienced person holding a professional certificate in accounting, or a person who has obtained at least a bachelor's degree in accounting, commerce, management, finance, or economics and has experience in the accounting and financial field. (4) The report of the board of directors required to be prepared by the company shall include a summary of the work performed by the audit committee, the strategy adopted by the board of directors to implement any recommendations made by the audit committee, any allowances or facilities received by members of the audit committee, and the names of the members of the audit committee. (5) The audit committee may summon the managing director, chief executive officer, or other directors involved in the daily operations, the auditor, the internal auditor, and the head of accounts of the company to a meeting by giving notice for inquiry on any matter, and it shall be the duty of such persons to attend the meeting upon such notice. (6) The board of directors shall implement suggestions given by the audit committee regarding the accounting and financial arrangements of the company, and if any suggestion cannot be implemented, the board of directors shall mention the reason thereof in its report. (7) The company shall make adequate arrangements for resources and means to enable the audit committee to perform its functions in accordance with its responsibilities, and the audit committee shall regulate its own internal procedures. (8) The chairperson of the audit committee shall attend the annual general meeting of the company. (9) The meeting of the audit committee shall be held as required. 165.

Functions, duties, and powers of the audit committee: The functions, duties, and powers of the audit committee constituted under sub-section (1) of Section 164 shall be as follows:- (a) To review the company's accounts and financial statements and verify the truth of the facts stated therein, (b) To review the company's internal financial control system and risk management system, (c) To supervise and review the company's internal audit work, (d) To recommend the names of potential auditors for the appointment of the company's auditor and to determine their remuneration and terms of appointment and submit them to the general meeting for approval, (e) To monitor and review whether the company's auditor has complied with the code of conduct, standards, and directives determined by the competent authority under prevailing law while performing audit work, (f) To determine the policy to be adopted by the company regarding the appointment and selection of the auditor based on the code of conduct, standards, and directives prepared by the competent authority under prevailing law, (g) To prepare and implement accounting policies of the company, (h) If any regulatory body has provided for a long form audit report to be included in the company's audit report, to fulfill the necessary conditions for preparing such report, (i) To perform other functions assigned by the board of directors regarding the company's accounts, financial arrangements, and audit. Chapter-19 Provisions Relating to Companies Not Distributing Profits 166. Company not distributing profits may be established: (1) Notwithstanding anything contained elsewhere in this Act, a company may be established for carrying on any enterprise with the condition that dividends shall not be distributed, for the purpose of developing and promoting any profession or business, protecting the collective rights and interests of persons engaged in a particular profession or business, or achieving any educational, academic, social, charitable, or public utility or welfare objective. (2) Any person desiring to register a company for achieving the objectives mentioned in sub-section (1), or the trustees of a public trust registered under prevailing law, or other organized institutions established under prevailing law, may submit an application to the Office pursuant to Section 4. (3) The number of promoters for establishing a company under sub-section (1) shall be at least five, and after such company is established, the number of its members may be any number, provided it shall not fall below five. (4) The membership of a company established under sub-section (1) shall not be transferable for any reason.

Upon the death, cancellation of registration or dissolution, or merger with another institution or company of a member, the membership of such person or institution shall automatically terminate.

(5) A company established under sub-section (1) shall not use words such as "Company", "Limited", or "Private Limited" with its name, except with prior approval of the Office.

(6) A company registered under sub-section (1) shall obtain the approval of the Office for branch expansion. 167. Special provisions relating to companies not distributing profits: (1) Notwithstanding anything contained in this Act or prevailing law, the following matters relating to a company established under Section 166 shall be as follows:-
(a) No share capital is required for establishing a company not distributing profits. Provided that the company may collect membership fees from its members and may receive donations and grants in accordance with law to fulfill its objectives.
(b) Members of the company shall not be liable for the debts or liabilities of the company, except where a member has accepted liability in writing, and if a member has accepted liability in writing specifying a limit, his/her liability shall be limited to that extent.
(c) All provisions of this Act applicable to a listed company shall also apply to the company, its directors, officers, auditors, and employees, except those provisions applicable only to a company having share capital.
(d) The company shall not distribute dividends, bonuses, or any other amount from its profits to its members or employees, and the profits earned by the company shall be used to increase the capital of the company or to achieve its objectives.
(e) The company shall obtain prior approval of the Office for changing its objectives.
(f) A company not distributing profits shall not merge into a company distributing profits.
(g) The members of a company established under this Chapter shall elect directors from among themselves, in the number determined in the articles, on the basis of one member one vote.
(h) The meeting allowance, salary, facilities payable to officers working in a company established under this Chapter, and the establishment and operating expenses of the company, shall not exceed the limits prescribed by the Office, and while prescribing such expenses, the Office shall base them on the capital position and profits of such company. Added by the first amendment.Provided that administrative expenses shall not exceed twenty-five percent of the total expenses.
(i) Upon dissolution or cancellation of registration of a company established under this Chapter, after settling the debts and liabilities of the company, the remaining property shall devolve as per the provisions made in the articles of the company, and if no provision is made, to the Government of Nepal.

Provided that such property shall not devolve in any manner to the founders or members of such company, or their close relatives, or any institution or company in which their close relatives are founders or members.

(2) If a provision in sub-section (1) is violated, the Office may cancel the registration of the company so violating. Provided that the company shall be given an opportunity to explain before cancellation of registration.

(3) A person aggrieved by the decision to cancel registration under sub-section (2) may file a complaint in the court within thirty-five days of receiving information of such decision.

(4) When the Office cancels registration under sub-section (2), it shall appoint a liquidator and an auditor, specifying the time limit within which the winding-up of such company is to be completed.

(5) The liquidator and auditor appointed pursuant to sub-section (4) shall perform their functions in accordance with the provisions made in this Act and prevailing law. Chapter-20
Interim Provisions Relating to Company Advisory Board and Company Board

168. Formation of Company Advisory Board: (1) The Government of Nepal shall, by publishing a notice in the Nepal Gazette, form a Company Advisory Board consisting of up to nine members, including one person each from the fields of law, accounting profession, tax administration, commerce or business administration from the government and private sectors who have obtained at least a Amended by the first amendment.bachelor's degree in that subject and have worked for at least seven years achieving expertise, and a representative of the Federation of Nepalese Chambers of Commerce and Industry, for the purpose of studying practical problems encountered in the implementation of this Act and prevailing law relating to company administration and advising the Government of Nepal on timely reforms to prevailing company law and reforms in company administration as required. The Registrar shall be the member-secretary of the Company Advisory Board.

(2) While forming the Advisory Board under sub-section (1), one of the members of the Board shall be designated as the chairperson in the same notice.

(3) The Company Advisory Board shall submit an annual report of its work performed under sub-section (1) to the concerned ministry of the Government of Nepal.

(4) The concerned ministry shall make the report submitted under sub-section (3) public and arrange for the general public to obtain it at a reasonable price. 169.

Provisions relating to Company Board: (1) Until the Government of Nepal designates a court in accordance with the provisions made in this Act, the Government of Nepal shall, by publishing a notice in the Nepal Gazette, form a three-member Company Board consisting of a chairperson and members as follows:- (a) A person who is a graduate in law with experience in the field of commercial law, who is a District Judge or has been a District Judge or is qualified to be a District Judge - Chairperson (b) A person who is registered as an advocate under prevailing law and has practiced law in the field of commercial law for at least ten years, or has served in a gazetted second class position in the Nepal Judicial Service for at least four years - Member (c) A person who is a graduate in management, commerce, or accounting and has worked in company management, tax administration, or the accounting field for at least ten years, or a practicing accountant who has obtained a professional certificate in accounting and has at least five years of experience in the accounting profession - Member (2) Notwithstanding anything contained in clauses (a), (b), or (c) of sub-section (1), the Government of Nepal may, by publishing a notice in the Nepal Gazette, designate any member of the Company Advisory Board constituted under Section 168 who possesses the qualifications mentioned in those clauses to also serve as the chairperson or a member of the Company Board formed under this section. (3) The Board formed under sub-section (1) or (2) shall exercise the jurisdiction vested in the court under this Act. (4) The Company Board formed under sub-section (1) or (2), while conducting and adjudicating cases exercising jurisdiction under sub-section (3), shall act as follows:- (a) The three members shall collectively exercise its jurisdiction.

Provided that the case may be conducted and adjudicated if the chairperson and another member are present, and the case may be conducted if two members other than the chairperson are present.
(b) If three members are present, the unanimous vote of all members or the majority vote of two members shall be deemed the decision of the Company Board.
(c) If only two members are present and both are unanimous, it shall be deemed the decision of the Company Board.
(d) If two members are present and cannot reach unanimity, in the case of proceedings, if the chairperson is present, the opinion of the chairperson shall prevail, and if members other than the chairperson are present, the opinion of the senior member shall prevail; in the case of judgment or final order, the matter shall be referred to the member who was previously absent, and the opinion supported by that member shall be deemed the decision of the Company Board.
(e) If three members are present and their opinions differ, or if even after being referred to the previously absent member under clause (d), no majority is reached, in the case of proceedings, the opinion of the chairperson shall prevail; in the case of judgment or final order, a certificate of difficulty shall be made to the appellate court.

(5) The Company Board may, considering the caseload, establish its bench in any other location within the State of Nepal for a specified period and conduct and adjudicate cases there.

(6) The Company Board shall adopt the procedure under the Summary Procedure Act, 2028 (1972) while conducting and adjudicating cases.

(7) A party aggrieved by a decision of the Company Board in relation to any case under this section may appeal to the concerned appellate court within thirty-five days from the date of receiving information of the decision.

(8) The remuneration, facilities, and other terms of service of the chairperson and members appointed or designated under this section shall be as prescribed. Provided that terms of service shall not be prescribed so as to reduce the remuneration or facilities once provided.

(9) Notwithstanding anything contained in sub-section (1), the Company Board constituted and existing under the Companies Act, 2053 (1997) at the time of commencement of this Act shall continue until a Company Board under this Act is formed.

(10) Cases pending proceedings or awaiting decision in the Company Board referred to in sub-section (9) at the time of commencement of this Act, and related petitions, shall be transferred to the Company Board established under this section after the commencement of this Act, and such cases shall be conducted and adjudicated by that Board. 170.

Provisions relating to secretariat and employees of Company Advisory Board and Company Board: (1) The secretariat of the Company Advisory Board to be formed under Section 168 shall be located at the Office of the Company Registrar. (2) The secretariat of the Company Board to be formed under Section 169 shall be located at the Ministry of Industry. (3) The secretariat of the Company Board shall have such number of employees as prescribed by the Government of Nepal. 171. Dissolution of Company Board: (1) The Company Board formed under Section 169 shall automatically dissolve from the date the Government of

Nepal designates a court under this Act by publishing a notice in the Nepal Gazette. (2) Upon the dissolution of the Company Board under sub-section (1), the appointments of the chairperson, members, and other employees working in that Board shall automatically terminate, and no compensation or additional amount shall be payable to them thereof. If any employees were deputed to that Board from other offices, their deputation shall automatically terminate. (3) Upon the dissolution of the Company Board under sub-section (1), all cases pending proceedings or awaiting decision in that Board under this Act, and related petitions, shall be transferred to the court. Chapter-21 Miscellaneous 172.

Company records and use of computers: (1) Records of the minute book, register of shareholders or debenture holders, list of shareholders, accounts, and ledgers, etc., required to be kept by a company under this Act may be kept in a separate book or, in a manner not inconsistent with the provisions of this section, through electronic communication means and computers in a non-legible form, or in any other manner that creates a record. (2) If records of any minute book, register, list of shareholders or debenture holders, accounts, ledgers, etc., are kept in some other manner without maintaining a physical book, the following shall apply:- (a) Such minute book, register, list of shareholders or debenture holders, or accounts, etc., shall be deemed to be kept at a particular place if there is easy access to the place where they are kept and if they can be inspected or a copy obtained from that place. (b) The company shall make adequate arrangements so that no person can tamper with or alter the record under clause (a), and the information recorded therein can be easily traced, inspected, and copied. (c) If any matter is recorded in a manner not readily legible, it shall be possible to reproduce it in a readily legible form. (3) If records of any minute book, register, list of shareholders or debenture holders, accounts, ledgers, etc., are kept on a website using electronic communication means or computers under this section, arrangements shall be made so that the date of preparation and the date of amendment of such documents are clearly visible. (4) If a company has recorded any minute book, register, list, accounts, or ledgers required to be kept under this Act in a non-legible form, and if any law imposes a duty on the company to allow inspection of or submit a copy of the same, the company shall be responsible for making arrangements so that the relevant part of such records can be inspected and viewed, or a copy thereof can be submitted in a legible form. 173.

Corporations owned by the Government of Nepal may be converted into companies: (1) If the Government of Nepal wishes to convert a public corporation established under prevailing law with full or partial ownership of the Government of Nepal, or a development committee under the Development Committee Act, 2013 (1956), into a company, such corporation or committee may be established as a public company under this Act. (2) Notwithstanding anything contained elsewhere in this Act, there shall be no restriction on the number of founder shareholders when establishing a company under sub-section (1). (3) The movable and immovable property of the corporation or committee under sub-section (1) may be valued and converted into share capital of the company to be established under sub-section (1), and upon such conversion, unless otherwise provided in the articles, all property and liabilities of such corporation or committee shall devolve upon such company. (4) Notwithstanding anything contained elsewhere in this Act, the number of directors of a company established under this section shall be as specified in the company's articles, and such directors shall not be required to hold shares to become directors. (5) A company under this section may sell and distribute its shares to the private sector through the securities market or directly through negotiation in a single block. 174. Outgoing person to hand over to incoming person: Any director or other officer or Amended by the first amendment.employee of a company shall, within thirty days of the termination of his/her office, hand over the documents and records in his/her charge to the incoming director, officer, or employee appointed to perform the duties in his/her place, and upon such handover by the outgoing person, the incoming person shall receive them. 175.

Transactions between related companies: (1) It shall be deemed that a transaction has taken place between related companies in the following cases where one company directly or indirectly provides loans or other financial assistance to another company, or provides guarantees or any other type of security for the payment of any liability, or conducts any transaction other than ordinary business dealings:- (a) Between a company and its holding company, (b) Between a company and another subsidiary of its holding company, (c) Between a subsidiary company of a company and the holding company of such company, (d) Between a subsidiary company of a company and another subsidiary of the holding company. (2) If a transaction occurs under sub-section (1), the related company shall, as soon as possible, inform its shareholders and the Office of such transaction, disclosing the following details:- (a) The date of the transaction and the parties involved, (b) The nature of the transaction and the amount or value of any loan provided, financial assistance provided, or security given under such transaction. 176. Restriction on transactions between companies: (1) No company shall, directly or indirectly, without passing a special resolution in a general meeting Added by the Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Promotion of Investment, 2024.provide a loan to another company, give a guarantee for any loan taken by another company, or invest in securities of another company, if the amount exceeds sixty percent of its paid-up capital and free reserves, or one hundred percent of its free reserves, whichever is higher. Provided that this provision shall not apply to a company engaged in banking or financial transactions, an insurance company, Amended by the first amendment.a company whose main object is to buy and sell securities or solely to invest, a private company that has not taken loans from banks or financial institutions, a company whose object is to provide infrastructure facilities, investments made by a holding company in its wholly-owned subsidiary, loans provided to that subsidiary, guarantees given for loans taken by that subsidiary, and investments made in rights shares issued under this Act. (2) Subject to sub-section (1), a company shall maintain such records as prescribed regarding loans provided to another company, investments made in such company, or guarantees given for loans taken by such company. 177. Amalgamation of companies: (1) A public company may, for the purpose of merging with another company, pass a special resolution in its general meeting and, subject to sub-section (3), merge with another company.

Provided that in the case of a private company, it shall be as per the provisions of its memorandum, articles, or unanimous agreement. (2) When a public company merges into a private company, or a private company merges into a public company, the public company shall survive. (3) If a resolution for merger is passed under sub-section (1), such company shall submit an application to the Office for approval within thirty days, containing the following:- (a) In the case of a public company, the resolution of the general meeting under sub-section (1); in the case of a private company, a copy of the relevant provision of the memorandum, articles, or unanimous agreement granting the power to merge, (b) The latest balance sheet of the merging company and the auditor's report, (c) A copy of the written consent letter from the creditors of both the merging and the surviving company, (d) Valuation of movable and immovable property of the merging company, and true details of assets and liabilities, (e) A copy of any decision made by the merging and surviving companies regarding the creditors, workers, and employees of the merging company, (f) The scheme of arrangement concluded between the companies for merger. (4) If notice under sub-section (3) is given to the Office, the Office shall study the matter and inform its decision within three months. (5) Upon receiving approval for merger from the Office under sub-section (4), all assets and liabilities of the merging company shall be deemed to have devolved upon the surviving company. (6) The Office shall maintain a separate record in the register of companies regarding the merged company. (7) Unless otherwise provided in the company's memorandum, articles, or unanimous agreement, a shareholder who does not give written consent to the consolidation, merger, exchange or transfer of shares, or sale of the (8) Except for the dividend approved by the General Meeting, the company shall not pay or distribute any amount in cash or in kind to the shareholders in a manner that imposes an expenditure burden on its funds. (9) After the expiry of a period of five years from the date on which the General Meeting of the company decided on the distribution of dividend, the amount of dividend not collected by any shareholder shall be deposited in the Investor Protection Fund established pursuant to Section 183. (10) When a company deposits the amount pursuant to subsection (9) into the fund pursuant to Section 183, it shall publish a notice in a national daily newspaper giving a notice period of at least one month before the expiry of the period mentioned in that subsection. (11) The amount of dividend to be distributed to shareholders pursuant to this Act shall, within forty-five days from the date of approval by the General Meeting, be deposited by the company in a separate account and the dividend amount shall be paid from that same account, and the company shall not be allowed to use such amount for other purposes.

183. Investor Protection Fund: (1) If no claim is submitted by any investor to withdraw the amount paid for investment in shares of a company within five years, an Investor Protection Fund shall be established to deposit such amount.

(2) The amount in the fund established pursuant to subsection (1) may be used for improving capital market, investment policy, company law or professional law relating to trade or business, for providing training to employees of the office or company, or for other matters relating to company administration.

(3) The management and operation of the fund established pursuant to subsection (1) shall be as decided by a committee consisting of the Registrar, the Chairperson of the Securities Board or his or her representative, and one representative appointed by the Securities Board from among the institutions operating the securities market.

(4) The office shall maintain records of expenditures made from the fund established pursuant to subsection (1) and shall arrange for an audit.

(5) Amounts received from the Government of Nepal, any donor agency, or any person or body may also be deposited in the fund established pursuant to subsection (1).

(6) If no claim is submitted by any investor pursuant to subsection (1), before depositing such amount into the Investor Protection Fund, a notice shall be published in a national daily newspaper giving a notice period of at least one month to collect such amount. 184. Company's Office: (1) Every company shall, outside its registered office, display a signboard bearing the company's name and address in the Nepali language, visible to all.

(2) Within three months of the incorporation of the company, every company shall register the address of its registered office with the office.

(3) Deleted by the first amendment. (3)

(4) After the company is registered, the company shall provide the office with information of its contact addresses such as telephone, fax, email, etc., and if such address changes, the changed address shall be provided to the office immediately.

(5) The office may prepare a sequential list of the registered office addresses of companies and the addresses pursuant to subsection (4) and keep them open for public inspection. 185.

Appointment of Company Secretary: (1) A company having a paid-up capital of one crore rupees or more shall appoint a Nepali citizen possessing the qualifications mentioned in subsection (2) to the position of company secretary. (2) A Nepali citizen who has obtained a professional certificate of company secretary from a domestic or foreign body authorized under prevailing law to issue such a professional certificate relating to company secretary and has worked in the relevant field for at least two years, or who has obtained at least a master's degree in law, management, commerce or economics and has worked in the relevant field or in the field of company management for at least three years, may be appointed to the position of company secretary. Provided that, in the case of a company secretary holding office at the time of the commencement of this Act, this provision shall not apply for three years from the date of commencement of this Act. (3) A director of the concerned company shall not be appointed as secretary of that company. (4) No person shall be appointed to the position of company secretary of more than one company at the same time. Provided that this provision shall not prevent the company secretary of a holding company from being appointed to the position of company secretary of a subsidiary company of that company. (5) Where any act is required to be done by or through the company secretary pursuant to this Act, prevailing law, or regulations, and if the position of company secretary in that company is vacant for any reason, or if the incumbent company secretary does not do such act or shows inability to do so, any employee of the company possessing the qualifications required under this Act as specified may act in the capacity of company secretary to perform such act. 186.

Functions, Duties and Powers of Company Secretary: (1) It shall be the duty of the company secretary to implement or cause to be implemented the decisions made by the Board of Directors and the General Meeting and the matters directed by the office or concerned bodies, and to submit reports, documents, decisions, etc., that the company is required to present to the office or any other body under this Act or prevailing law, within the prescribed time limit. (2) Subject to this Act, the Memorandum and the Articles of Association, the company secretary shall perform the following functions: (a) to convene meetings of the Board of Directors or General Meetings, (b) to prepare an agenda of matters to be discussed in meetings of the Board of Directors or General Meetings and send them to the concerned directors or shareholders, (c) to record, certify, and be responsible for the records of decisions of the Board of Directors or General Meetings, (d) to send notices of share allotment and calls for installments according to the decision of the Board of Directors, (e) to maintain, be responsible for, and certify the register of shareholders and the register of shareholders and debenture holders regularly, (f) to submit to the Board of Directors or the Chief Executive for the registration of pledges, transfers, or cancellations of shares or debentures, (g) if any matter such as a claim, complaint, grievance, suggestion, or advice of a shareholder or debenture holder is submitted in writing, to forward it to the Board of Directors or the Chief Executive or the office or other bodies, and to provide the outcome of the action taken in that regard in writing to the concerned shareholder or debenture holder, (h) to perform other functions determined or prescribed as required to be performed by the company secretary under prevailing law. (3) Except as per the decision of the General Meeting, the company secretary shall not do or cause to be done any act that benefits himself or herself from or through the company. (4) The company secretary shall comply with the prescribed code of conduct. 184. Validity of Agreement among Shareholders: (1) An agreement made among the shareholders of a company regarding the management, operation, and voting rights of the shareholders shall be binding between them. Provided that if any provision of such an agreement is prejudicial to the interests of the company or its minority shareholders, it shall be void to that extent. (2) Two copies of the agreement made pursuant to subsection (1) shall be submitted by the concerned shareholders to the company within fifteen days from the date of such agreement.